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Validus Reinsurance, Ltd.

Incorporated in Bermuda

Consolidated financial statements

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars, except share amounts

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April 28, 2020

Report of Independent Auditors

To the Board of Directors and Shareholder of Validus Reinsurance, Ltd.

We have audited the accompanying consolidated financial statements of Validus Reinsurance, Ltd. and its subsidiaries, which comprise the consolidated balance sheets as of December 31, 2019 and December 31, 2018, and the related consolidated statements of income (loss) and comprehensive income (loss), of shareholder's equity and of cash flows for the years then ended.

Management's responsibility for the consolidated financial statements
Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility
Our responsibility is to express an opinion on the consolidated financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the Company's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion
In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Validus Reinsurance, Ltd. and its subsidiaries as of December 31, 2019 and December 31, 2018, and the results of their operations and their cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matter
Accounting principles generally accepted in the United States of America require that the required supplemental information under Accounting Standards Update 2015-09, *Disclosure about Short-Duration Contracts* labelled as Unaudited within Note 11 on pages 36 to 38 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

PricewaterhouseCoopers Ltd.

Chartered Professional Accountants

Consolidated Balance Sheets

As at December 31, 2019 and 2018

Expressed in thousands of U.S. dollars, except share amounts

	2019 $	2018 $
Assets		
Fixed maturity investments trading, at fair value (amortized cost: 2019 - $2,754,199; 2018 - $2,464,591)	2,791,814	2,430,923
Short-term investments trading, at fair value (amortized cost: 2019 - $62,794; 2018 - $94,624)	62,794	94,624
Other investments, at fair value (cost: 2019 - $177,051; 2018 - $267,286)	282,398	352,055
Cash and cash equivalents	386,676	781,001
Restricted cash	57,739	109,437
Total investments and cash	3,581,421	3,768,040
Investments in operating affiliates, equity method (cost: 2019 - $99,534; 2018 - $123,740)	123,972	141,431
Structured notes receivable from AlphaCat ILS fund	10,909	11,610
Premiums receivable	717,526	545,544
Deferred acquisition costs	151,228	179,605
Prepaid reinsurance premiums	62,308	76,900
Loss reserves recoverable	1,119,707	1,291,891
Paid losses recoverable	92,921	18,409
Income taxes recoverable	5,356	1,291
Deferred tax asset	61,005	35,582
Receivable for investments sold	738	6,905
Balances due from affiliates	1,094,261	993,846
Accrued investment income	15,814	13,117
Funds withheld	44,247	1,794,652
Other assets	22,357	30,305
Total assets	**7,103,770**	**8,909,128**
Liabilities		
Reserve for losses and loss expenses	2,724,823	4,127,360
Unearned premiums	679,964	941,069
Reinsurance balances payable	99,183	172,597
Income taxes payable	1,578	125
Deferred tax liability	3,857	1,818
Payable for investments purchased	99	30,646
Balances due to affiliates	139,219	187,600
Funds withheld liability	161	181,682
Accounts payable and accrued expenses	7,633	7,231
Total liabilities	**3,656,517**	**5,650,128**
Shareholder's equity		
Common shares, 1,000,000 authorized, par value $1.00 Issued and outstanding (2019 and 2018 - 1,000,000)	1,000	1,000
Additional paid-in capital	2,960,939	2,887,498
Accumulated other comprehensive income	173	173
Retained earnings	485,141	370,329
Total shareholder's equity	**3,447,253**	**3,259,000**
Total liabilities and shareholder's equity	**7,103,770**	**8,909,128**

Approved by the Board of Directors

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Jeffrey Clements
Director

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Patrick Boisvert
Director

Consolidated Statements of Income (Loss) and Comprehensive Income (Loss)

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars

	2019 $	2018 $
Revenues		
Gross premiums written	2,806,989	2,181,736
Reinsurance premiums ceded	(694,867)	(481,222)
Net premiums written	2,112,122	1,700,514
Change in unearned premiums	(230,251)	(21,991)
Net premiums earned	1,881,871	1,678,523
Net investment income	126,553	149,677
Net realized gains (losses) on investments	2,458	(43,995)
Net change in unrealized gains on investments	91,403	48,396
Other insurance-related income and other income	62,599	45,747
Foreign exchange gains (losses)	4,037	(3,419)
Total revenues	**2,168,921**	**1,874,929**
Expenses		
Losses and loss expenses	1,154,027	1,277,976
Policy acquisition costs	531,679	536,907
General and administrative expenses	118,334	129,806
Share compensation expenses	1,799	1,626
Finance expenses	3,855	13,930
Transaction expenses	470	1,291
Total expenses	**1,810,164**	**1,961,536**
Income (loss) from continuing operations before taxes and income (loss) from operating affiliates	**358,757**	**(86,607)**
Tax benefit	26,303	13,808
Income (loss) from operating affiliates	8,708	(1,210)
Income from structured notes receivable from AlphaCat ILS fund	1,044	1,004
Income (loss) from continuing operations	**394,812**	**(73,005)**
Discontinued operations		
Loss from operating affiliates, net of tax benefit of $nil (2018: $10,061)	-	(31,488)
Net income (loss)	**394,812**	**(104,493)**
Net income (loss)	**394,812**	**(104,493)**
Other comprehensive loss, net of tax		
Change in minimum pension liability	-	(2,719)
Change in fair value of cash flow hedges	-	(1,890)
Other comprehensive loss	-	(4,609)
Comprehensive income (loss)	**394,812**	**(109,102)**

Consolidated Statements of Shareholder's Equity

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars

	2019 $	2018 $
Common shares		
Balance, beginning and end of year	1,000	1,000
Additional paid-in capital		
Balance, beginning of year	2,887,498	2,862,372
Contributions from parent company	73,441	14,202
Share compensation expenses	-	21,990
Share compensation issuance costs	-	(11,066)
Balance, end of year	2,960,939	2,887,498
Accumulated other comprehensive income		
Balance, beginning of year	173	4,782
Change in minimum pension liability	-	(2,719)
Change in fair value of cash flow hedges	-	(1,890)
Balance, end of year	173	173
Retained earnings		
Balance, beginning of year	370,329	1,380,469
Transfer of interests in previously consolidated subsidiaries	-	2,715
Dividends declared	(280,000)	(908,362)
Net income (loss)	394,812	(104,493)
Balance, end of year	485,141	370,329
Total shareholder's equity	**3,447,253**	**3,259,000**

Consolidated Statements of Cash Flows

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars

	2019 $	2018 $
Cash flows (used in) provided by operating activities		
Income (loss) from continuing operations	394,812	(73,005)
Adjustments to reconcile income (loss) from continuing operations to net cash (used) in provided by operating activities:		
Share compensation expenses	1,799	1,626
Change in net realized and unrealized gains on investments	(93,861)	(4,401)
(Income) loss from operating affiliates	(8,708)	1,210
Foreign exchange (gains) losses included in income (loss) from continuing operations	(946)	6,455
Amortization of premium on fixed maturity investments	3,222	5,968
Transaction expenses	470	1,291
Change in operational balance sheet items:		
Premiums receivable	(171,982)	115,005
Deferred acquisition costs	28,377	21,395
Prepaid reinsurance premiums	14,592	(9,159)
Loss reserves recoverable	172,184	(644,069)
Paid losses recoverable	(74,512)	28,365
Reserve for losses and loss expenses	(1,402,537)	928,309
Unearned premiums	(261,105)	31,151
Reinsurance balances payable	(73,414)	9,147
Funds withheld	1,750,405	(353,848)
Other operational balance sheet items, net	(370,136)	32,188
Net cash (used in) provided by operating activities	**(91,340)**	**97,628**
Cash flow (used in) provided by investing activities		
Proceeds on sales of investments	517,861	3,162,503
Proceeds on maturities of investments	320,523	365,048
Purchase of fixed maturity investments	(1,207,514)	(2,210,817)
Sales of short-term investments, net	86,234	54,791
Sales of other investments, net	90,029	2,054
Decrease in securities lending collateral	-	2,717
Investments in operating affiliates	(15,000)	(3,600)
Redemptions from operating affiliates	41,167	14,220
Redemptions of structured notes from AlphaCat ILS fund, net	10,701	6,257
Purchases of structured notes from AlphaCat ILS fund, net	(3,000)	(2,400)
(Investments) deployment of subscriptions made in advance with AlphaCat ILS fund, net	(5,000)	3,833
Net cash (used in) provided by investment activities	**(163,999)**	**1,394,606**
Cash flows used in financing activities		
Share compensation issuance costs	-	(301)
Repayment of debt	-	(249,358)
Dividends paid	(191,630)	(797,558)
Decrease in securities lending payable	-	(2,718)
Net cash used in financing activities	**(191,630)**	**(1,049,935)**
Effect of foreign currency rate changes on cash and cash equivalents and restricted cash	**946**	**(8,345)**
Net (decrease) increase in cash and cash equivalents and restricted cash	**(446,023)**	**433,954**
Cash and cash equivalents and restricted cash - beginning of year	890,438	456,484
Cash and cash equivalents and restricted cash - end of year	**444,415**	**890,438**
Supplemental information		
Taxes paid during the year	16	1,274
Interest paid during the year	-	13,188
Non-cash balance sheet movements excluded		
Sales of other investments	-	110,804

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars, except share amounts

1. Nature of the business

Validus Reinsurance, Ltd. (the "Company" or "Validus Re") was incorporated under the laws of Bermuda on October 19, 2005. The Company is 100% owned by Validus Holdings, Ltd. (the "parent company" or "Validus Holdings") which was also incorporated under the laws of Bermuda on October 19, 2005. Validus Re is registered as a Class 4 insurer under The Insurance Act 1978 of Bermuda, amendments thereto and the Insurance Account Rules 2016 (the "Legislation"). The Company primarily offers treaty reinsurance coverage on a global basis in the Property and Specialty lines markets.

On September 4, 2009, pursuant to an Amalgamation Agreement, Validus Holdings acquired all of IPC Holdings Ltd. ("IPC") outstanding common shares in exchange for 0.9727 common shares of Validus Holdings and $7.50 cash per IPC's common share. IPC's operations were focused on short-tail lines of reinsurance. The primary lines in which IPC conducted business were property catastrophe reinsurance and, to a limited extent, property-per-risk excess, aviation (including satellite) and other short-tail reinsurance on a worldwide basis. The acquisition of IPC was undertaken to gain a strategic advantage in the reinsurance market and increase the parent company's capital base. The investment in IPC was transferred to the Company by Validus Holdings in September 2009 as $1,325,398 of additional paid-in capital.

On November 30, 2012, pursuant to a merger agreement, Validus Holdings acquired all of the outstanding common shares of Flagstone Reinsurance Holdings, S.A. ("Flagstone") in exchange for 0.1935 common shares of Validus Holdings and $2.00 cash per Flagstone common share. The investment in Flagstone was transferred to the Company by Validus Holdings on November 30, 2012 as $720,123 of additional paid-in capital, strengthening the Company's leading property catastrophe reinsurance and short-tail specialty insurance platform.

On April 25, 2013, the Company acquired Validus Re Americas, Ltd. (formerly Longhorn Re, Ltd.), a single contract, Bermuda-domiciled crop reinsurer, for cash equal to its tangible net assets.

On October 9, 2013, the Company completed the sale of its wholly-owned Cyprus-domiciled subsidiary, Flagstone Alliance Insurance and Reinsurance plc. for net cash proceeds of $21,400.

On October 2, 2014, the Company acquired all of the outstanding shares of Western World Insurance Group, Inc. ("Western World"), a U.S.-based specialty excess and surplus lines insurance company, for an aggregate purchase price of $692,305 in cash. The Western World acquisition was undertaken to enhance the Company's access to the specialty U.S. commercial insurance market. Additional factors that added to the value of Western World included its State Licenses, Brand Name, Distribution Network and Technology.

On May 1, 2017, the Company, through its wholly-owned subsidiary Western World, acquired all of the outstanding capital stock of Crop Risk Services, Inc. ("CRS"), a primary crop insurance managing general agent ("MGA"), for an aggregate purchase price of $185,576 in cash. The CRS acquisition was undertaken to expand the Company's presence in U.S. primary specialty lines.

On June 15, 2018, the Bermuda Monetary Authority ("BMA") approved the merger of IPC Re Limited ("IPCRe") with the Company, with the Company being the surviving entity, in accordance with the provisions of Section108 of the Companies Act, 1981.

On July 18, 2018, Validus Holdings completed its previously announced definitive agreement and plan of merger (the "Merger Agreement") with American International Group, Inc. ("AIG") in accordance with Section 105 of the Bermuda Companies Act 1981. Pursuant to the Merger Agreement, Validus Holdings merged with an existing AIG subsidiary, with Validus Holdings continuing as the surviving corporation and as a wholly-owned subsidiary of AIG.

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars, except share amounts

1. Nature of the business (continued)

On September 1, 2018, in order to align Validus Re's U.S. entities (i.e. Validus Specialty, Inc. and all of its subsidiaries including Western World and CRS ("Validus Specialty Group" or "Validus Specialty")) under AIG's U.S. consolidated tax group, the Company sold its interest in Validus Specialty Group to AIG Property Casualty Inc. in exchange for a note receivable from AIG International Holdings GmbH. Refer to Note 5, *"Discontinued operations",* for additional information.

2. Basis of preparation and consolidation

These Consolidated Financial Statements have been prepared in accordance with accounting principles generally accepted in the United States of America ("U.S. GAAP"). The Company consolidates in these Consolidated Financial Statements the results of operations and financial position of all voting interest entities ("VOE") in which the Company has a controlling financial interest and all variable interest entities ("VIE") in which the Company is considered to be the primary beneficiary. The consolidation assessment, including the determination as to whether an entity qualifies as a VIE or VOE, depends on the facts and circumstances surrounding each entity.

All significant intercompany accounts and transactions have been eliminated.

The preparation of these Consolidated Financial Statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. While the amounts included in the Consolidated Financial Statements reflect management's best estimates and assumptions, actual results could differ from those estimates. The Company's principal estimates include:

- the reserve for losses and loss expenses;
- the premium written on a line slip or proportional basis;
- the loss reserves recoverable, including the provision for uncollectible amounts; and
- the valuation of invested assets and other financial instruments.

The term "ASC" used in these notes refers to Accounting Standard Codification issued by the United States Financial Accounting Standards Board (the "FASB").

3. Significant accounting policies

The following is a summary of significant accounting policies adopted by the Company:

Premiums

Reinsurance contracts can be written on a risks attaching or losses occurring basis. Under risks attaching reinsurance contracts, all claims from cedants' underlying policies incepting and attaching during the reinsurance contract period are covered, even if they occur after the expiration date of the reinsurance contract and before the expiration date of the attaching policy. In contrast, losses occurring reinsurance contracts cover all claims occurring during the coverage period of the contract, regardless of the inception dates of the underlying policies. Any claims occurring after the expiration of the losses occurring contract are not covered.

Reinsurance premiums written are recorded at the inception of the policy. Premiums are estimated based on information received from brokers, ceding companies and reinsureds, and any subsequent differences arising on such estimates are recorded in the periods in which they are determined.

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars, except share amounts

3. Significant accounting policies (continued)

Premiums (continued)

Premiums written are earned on a pro-rated basis over the term of the related policy or contract. For losses occurring reinsurance contracts, the earnings period is generally the same as the term of the related contract or policy. For reinsurance contracts written on a risks attaching basis, the earnings period is based on the terms of the underlying contracts and policies and is generally assumed to be 24 months. The portion of the premiums written applicable to the unexpired terms of the underlying contracts and policies in force is recorded as unearned premiums.

Reinstatement premiums are recorded at the time a loss event occurs and coverage limits for the remaining life of the contract are reinstated under predefined contract terms. The accrual of reinstatement premiums is based on our estimate of losses and loss expenses, which reflects management's judgment, as described in "*Reserve for losses and loss expenses*" below.

Policy acquisition costs

Policy acquisition costs are costs that vary with, and are directly related to, the successful production of new and renewal business, and consist principally of commissions and brokerage expenses. These costs are deferred and amortized over the period in which the related premiums are earned. Acquisition costs are shown net of commissions earned on reinsurance ceded. However, if the sum of a contract's expected losses and loss expenses and deferred acquisition costs exceeds related unearned premiums, a premium deficiency is determined to exist. In this event, deferred acquisition costs are immediately expensed to the extent necessary to eliminate the premium deficiency. If the premium deficiency exceeds deferred acquisition costs then a liability is accrued for the excess deficiency. There were no significant premium deficiency adjustments recognized during the periods presented herein.

Policy acquisition costs also include profit commissions, which are recognized on a basis consistent with our estimate of losses and loss expenses.

Reserve for losses and loss expenses

The reserve for losses and loss expenses includes reserves for unpaid reported losses ("case reserves") and for losses incurred but not reported ("IBNR"). Case reserves are established by management based on reports from brokers, ceding companies and insureds and represents the unpaid portion of the estimated ultimate cost of events or conditions that have been reported to, or specifically identified by, the Company. IBNR reserves are established by management based on actuarially determined estimates of ultimate losses and loss expenses. Inherent in the estimate of ultimate losses and loss expenses are expected trends in claim severity and frequency and other factors which may vary significantly as claims are settled.

The period of time from the occurrence of a loss to the reporting of a loss to the Company and to the settlement of the Company's liability may be several months or years. During this period, additional facts and trends may be revealed. Accordingly, losses and loss expenses ultimately paid may differ materially from the amounts recorded in the Consolidated Financial Statements. These estimates are reviewed regularly and, as experience develops and new information becomes known, the reserves are adjusted as necessary. These adjustments sometimes lead to an increase or decrease in ultimate losses, and at other times lead to a reallocation between IBNR and specific case reserves. Adjustments to ultimate loss estimates, if any, are recorded in earnings in the period in which they become known. Prior period development arises from changes to these estimates recognized in the current year that relate to losses and loss expenses that were incurred in previous calendar years.

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars, except share amounts

3. Significant accounting policies (continued)

Reserve for losses and loss expenses (continued)

Although there is normally a lag in receiving reinsurance data from cedants, the Company currently has adequate procedures in place regarding the timeliness related to the processing of assumed reinsurance information and there is no significant backlog. The Company actively manages its relationships with brokers and clients and considers existing disputes with counterparties to be in the normal course of business.

Reinsurance

The Company enters into retrocession agreements in order to mitigate its accumulation of loss, reduce its liability on individual risks, enable it to underwrite policies with higher limits and increase its aggregate capacity. Ceded reinsurance premiums are accounted for on bases consistent with those used in accounting for the underlying premiums assumed. Prepaid reinsurance premiums represent the portion of premiums ceded applicable to the unexpired term of policies in force.

Loss reserves recoverable on unpaid losses represent amounts that will be collectible from reinsurers once the losses are paid. Reinsurance recoverable on paid losses represents amounts currently due from reinsurers. The recognition of reinsurance recoverable requires two key judgments. In determining the Company's ceded IBNR, the first judgment involves the estimation of the amount of gross IBNR to be ceded to reinsurers. Ceded IBNR is developed as part of the Company's loss reserving process and consequently, its estimation is subject to risks and uncertainties similar to the estimation of gross IBNR.

Funds withheld

The Company writes and cedes certain business on a funds withheld basis. Under these contractual arrangements, the cedants withhold premiums for the purpose of paying claims. The remaining net funds will be remitted to or paid by the Company after all policies have expired and all claims have been settled.

Investments

The Company classifies its fixed maturity and short-term investments as trading and accounts for its other investments in accordance with ASC Topic 825, *"Financial Instruments".* As such, all investments are carried at fair value with interest and dividend income and realized and unrealized gains and losses included in net income.

All investment transactions are recorded on a first-in-first-out basis and realized gains and losses on the sale of investments are determined on the basis of amortized cost (or cost). Interest on fixed maturity securities is recorded in net investment income when earned and includes amortization of premium or accretion of discount.

For mortgage-backed securities, and any other holdings which carry the risk of prepayment, prepayment assumptions are evaluated and revised as necessary. Any adjustments required due to the resultant change in effective yields and maturities are recognized retrospectively. Prepayment fees or call premiums that are only payable to the Company when a security is called prior to its maturity are earned when received and reflected in net investment income.

Short-term investments primarily comprise investments with a remaining maturity of less than one year at time of purchase and money market funds held at the Company's investment managers.

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars, except share amounts

3. Significant accounting policies (continued)

Investments (continued)

The fair value of other investments is generally recorded on the basis of the net asset valuation criteria established by the managers of the investments, normally based upon the governing documents of such investments. In addition, due to a lag in reporting, some of the fund managers, fund administrators, or both, are unable to provide final fund valuations as of the Company's reporting date. In these circumstances, the Company estimates the fair value of these funds by starting with the prior month's or prior quarter's fund valuation, adjusting these valuations for capital calls, redemptions or distributions and the impact of changes in foreign currency exchange rates, and then estimating the return for the current period. In circumstances in which the Company estimates the return for the current period, it uses all credible information available. This includes utilizing preliminary estimates reported by its fund managers, obtaining the valuation of underlying portfolio investments where such underlying investments are publicly traded and therefore have a readily observable price, using information that is available to the Company with respect to the underlying investments, reviewing various indices for similar investments or asset classes, as well as estimating returns based on the results of similar types of investments for which the Company has reported results, or other valuation methods, as necessary. Actual final fund valuations may differ, perhaps materially so, from the Company's estimates and these differences are recorded in the period they become known as a change in estimate.

Investments in which the Company has significant influence over the operating and financial policies of the investee are accounted for under the equity method of accounting. Under this method, the Company records its proportionate share of income or loss from such investments in its results for the period.

Fair value of financial instruments

Fair value is defined as the price received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date reflecting the highest and best use valuation concepts. ASC Topic 820, *"Fair Value Measurement and Disclosure"*, provides a framework for measuring fair value by creating a hierarchy of fair value measurements that distinguishes market data between observable independent market inputs and unobservable market assumptions by the reporting entity. The guidance further expands disclosures about such fair value measurements. The guidance applies broadly to most existing accounting pronouncements that require or permit fair value measurements (including both financial and non-financial assets and liabilities) but does not require any new fair value measurements. The Company has adopted all authoritative guidance in effect as of the balance sheet date regarding certain market conditions that allow for fair value measurements that incorporate unobservable inputs where active market transaction based measurements are unavailable.

Derivative instruments

The Company enters into various derivative instruments in the form of foreign currency forward exchange contracts. These derivative instruments are used to manage exposures to currency risk. All of the Company's outstanding derivative financial instruments are recognized in the Consolidated Balance Sheets at their fair values. The effect on earnings from recognizing the fair values of these derivative financial instruments depends on their intended use, their hedge designation, and their effectiveness in offsetting changes in the fair values of the exposures they are hedging.

Derivatives not designated as hedging instruments

Changes in the fair values of derivative instruments that are not designated as hedges are reported currently in earnings. Refer to Note 9, *"Derivative instruments"*, for further details.

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars, except share amounts

3. Significant accounting policies (continued)

Cash and cash equivalents

The Company considers time deposits and money market funds with an original maturity of one month or less as equivalent to cash.

Restricted cash

Restricted cash primarily relates to funds held in trust in support of collateralized reinsurance transactions.

Foreign exchange

The U.S. dollar is the functional currency of the Company and its subsidiaries. For these companies, monetary assets and liabilities denominated in foreign currencies are revalued at the exchange rates in effect at the balance sheet date and revenues and expenses denominated in foreign currencies are translated at the prevailing exchange rate on the transaction date with the resulting foreign exchange gains and losses included in earnings. Non-monetary assets and liabilities denominated in foreign currencies are revalued at the exchange rate in effect at the time of the underlying transaction.

Stock plans

Validus Holdings and AIG account for their stock plans in accordance with the ASC Topic 718, *"Compensation - Stock Compensation".* Accordingly, Validus Holdings and AIG recognize the compensation expense for stock option grants, restricted share grants and performance share grants based on the fair value of the award on the date of grant over the requisite service period, and allocates the expense to its subsidiaries, including the Company, based on the location of employees. Under the Validus Holdings stock plan, the expense allocated to each subsidiary, including the Company, was recorded to additional paid-in capital, intercompany with Validus Holdings. Under the AIG stock plan, the expense allocated to each subsidiary, including the Company, is settled in cash, payable to AIG upon the date of vest.

For the years presented, the Company assumed a forfeiture rate of 5.0% for the awards granted under the Validus Holdings stock plan. The Company's forfeiture assumptions serve to reduce the unamortized grant date fair value of outstanding restricted shares as well as the associated restricted shares expense. As restricted shares were actually forfeited, the number outstanding was reduced and the expenses relating to the unvested restricted shares were reversed. True-up adjustments were made as the restricted shares approach the vesting period. For the awards granted under the AIG stock plan, no forfeiture rate is applied, and the compensation expense for forfeited awards is reversed on occurrence.

Income taxes and uncertain tax provisions

Deferred tax assets and liabilities are recorded in accordance with ASC Topic 740, *"Income Taxes".* Consistent with ASC 740, the Company records deferred income taxes which reflect operating losses and tax credits carried forward and the tax effect of the temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and their respective tax bases.

The Company and its Bermuda domiciled subsidiaries are not subject to any income, withholding or capital gains taxes under current Bermuda law. The Company has operating subsidiaries in various other jurisdictions around the world, including but not limited to Luxembourg, Switzerland and Canada that are subject to relevant taxes in those jurisdictions.

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars, except share amounts

3. Significant accounting policies (continued)

Income taxes and uncertain tax provisions (continued)

The Company recognizes the tax benefits of uncertain tax positions only where the position is more likely than not to be sustained upon examination by tax authorities based upon the technical merits of the position. Based on the more-likely-than-not recognition threshold, we must presume that the tax position will be subject to examination by a taxing authority with full knowledge of all relevant information. If the recognition threshold is met, then the tax position is measured at the largest amount of benefit that is more than 50% likely of being realized upon ultimate settlement. The Company classifies all interest and penalties related to uncertain tax positions in income tax expenses.

Variable interest entities

The Company determines whether it has relationships with entities defined as VIEs in accordance with ASC Topic 810, *"Consolidation".* A VIE is consolidated by the variable interest holder that is determined to be the primary beneficiary.

An entity in which the Company holds a variable interest is a VIE if any of the following conditions exist: (a) the total equity investment at risk is not sufficient to permit the entity to finance its activities without additional subordinated financial support, (b) as a group, the holders of equity investment at risk lack either the direct or indirect ability through voting rights or similar rights to make decisions about an entity's activities that most significantly impact the entity's economic performance or the obligation to absorb the expected losses or right to receive the expected residual returns, or (c) the voting rights of some investors are disproportionate to their obligation to absorb the expected losses of the entity, their rights to receive the expected residual returns of the entity, or both and substantially all of the entity's activities either involve or are conducted on behalf of an investor with disproportionately few voting rights.

The primary beneficiary is defined as the variable interest holder that is determined to have the controlling financial interest as a result of having both (a) the power to direct the activities of a VIE that most significantly impact the economic performance of the VIE and (b) the obligation to absorb losses or right to receive benefits from the VIE that could potentially be significant to the VIE. At inception of the VIE, as well as following an event that requires reassessment, the Company determines whether it is the primary beneficiary based on the facts and circumstances surrounding each entity.

Discontinued operations

Due to the sale of the Validus Specialty Group during 2018, the results of operations of Validus Specialty, Inc. and its subsidiaries, including Western World and CRS, were presented separately under "*Discontinued operations*" for the year ended December 31, 2018, in accordance with ASC Topic 205-20, "*Presentation of Financial Statements - Discontinued Operations*". Refer to Note 5, "*Discontinued operations*", for further details on the financial statement line items included in "*Loss from operating affiliates, net of tax benefit*" on the Consolidated Statements of Income (Loss) and Comprehensive Income (Loss) for the year ended December 31, 2018.

Notes to the consolidated financial statements

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4. Recent accounting pronouncements

Accounting standard adopted in 2019

Leases

In February 2016, the FASB issued ASU 2016-02, *"Leases (Topic 842)"*, which requires lessees with lease terms of more than 12 months to recognize a right of use asset and a corresponding lease liability on their balance sheets. For income statement purposes, the FASB retained a dual model, requiring leases to be classified as either operating leases or finance leases. During 2018, 2019 and 2020, the FASB issued a number of amendments and targeted improvements to ease with the application of the standard. These updates are effective in line with the effective date of ASU 2016-02.

The Company early adopted the standard with an effective date of January 1, 2019. The Company also elected certain practical expedients that allow the Company not to reassess existing leases under the new guidance. The vast majority of the Company's lease obligations pertain to office space utilized in the operation of our businesses. Consequently, the primary impact of adoption resulted in the recognition of a right of use asset and a lease liability for operating leases pertaining to these properties. Early adoption of this standard did not have a material impact on the Company's Consolidated Financial Statements. Refer to Note 17, *"Commitments and contingencies"*, for further details.

Recently issued accounting standards not yet adopted

Financial instruments - Credit losses

In June 2016, the FASB issued ASU 2016-13, *"Financial Instruments - Credit Losses (Topic 326)"*, which will change how entities account for credit losses for most financial assets, trade receivables and reinsurance receivables. The standard will replace the existing incurred loss impairment model with a new "current expected credit loss model" that generally will result in earlier recognition of credit losses. The standard will apply to financial assets subject to credit losses, including loans measured at amortized cost, reinsurance receivables and certain off-balance sheet credit exposures. During 2018, 2019 and 2020, the FASB issued a number of amendments and targeted improvements to ease with the application of the standard. These updates are effective in line with the effective date of ASU 2016-13.

This standard is effective for non-public entities for fiscal years beginning after December 15, 2021. The Company is currently assessing the impact of this guidance and whether early adoption will be applied. Although the Company does not anticipate the adoption of this standard to have a material impact on the Consolidated Financial Statements, the quantitative impact of any change will be dependent on the Company's portfolio at the adoption date, as well as economic conditions and other factors at that time.

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4. Recent accounting pronouncements (continued)

Recently issued accounting standards not yet adopted (continued)

Disclosure framework for fair value measurements

In August 2018, the FASB issued ASU 2018-13, *"Fair Value Measurement (Topic 820): Disclosure Framework - Changes to the Disclosure Requirements for Fair Value Measurement"*. The amendments in this update modify the disclosure requirements on fair value measurements in Topic 820, Fair Value Measurement, based on the concepts in the Concepts Statement, including the consideration of costs and benefits. The amendments in this update are effective for all entities for fiscal years beginning after December 15, 2019. The Company is currently evaluating the impact of this guidance but does not expect it to have a material impact from a disclosure perspective.

Considering indirect interests in consolidation assessments

In October 2018, the FASB issued ASU 2018-17, *"Consolidation (Topic 810)"*. The amendments in this update improve the accounting for (1) applying the variable interest entity (VIE) guidance to non-public entities under common control; and (2) the consideration of indirect interests held through related parties under common control for determining whether fees paid to decision makers and providers are variable interests. For non-public entities, the amendments in this update are effective for fiscal years beginning after December 15, 2020. The Company is currently evaluating the impact of this guidance but does not expect it to have a material impact on the Company's Consolidated Financial Statements.

Simplifying the accounting for income taxes

In December 2019, the FASB issued ASU 2019-12, *"Income Taxes (Topic 740) - Simplifying the Accounting for Income Taxes"*. The amendments in this update simplify the accounting for income taxes by removing certain exceptions to the general principles in Topic 740. The amendments also improve consistent application of and simplify GAAP for other areas of Topic 740 by clarifying and amending existing guidance. For non-public entities, the amendments are effective for fiscal years beginning after December 15, 2021. The Company is currently evaluating the impact of this guidance but does not expect it to have a material impact on the Company's Consolidated Financial Statements.

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5. Discontinued operations

On September 1, 2018, in order to align the Validus Specialty Group under AIG's U.S. consolidated tax group, the Company sold its interest in Validus Specialty to AIG Property Casualty Inc. in exchange for a note receivable from AIG International Holdings GmbH. As Validus Specialty qualified as a "component" of the Company under ASC Topic 205-20, "*Presentation of Financial Statements - Discontinued Operations*", and its disposal had a major effect on the Company's operations and financial results, it qualified for discontinued operations presentation and disclosure for the year ended December 31, 2018.

The Company acquired a loan receivable with a principal sum of $327,729 as consideration for the transfer of Validus Specialty, with a book value of $321,709. Refer to Note 18, *"Related party transactions"*, for further details.

Assets transferred consisted primarily of fixed maturities, cash and cash equivalents, premiums receivable, loss reserves recoverable, goodwill and other assets. The AIG subsidiary that acquired Validus Specialty Group also assumed certain liabilities, primarily reserve for losses and loss expenses, unearned premiums, reinsurance balances payable and accounts payable and accrued expenses.

Subsequent to the transfer of Validus Specialty Group, the Company expected to have the continued run-off of pre-existing reinsurance agreements with Western World, most notably the reserve for losses and loss expenses impact of these agreements. On December 16, 2019, the Company's reinsurance agreements with Western World were commuted. Refer to Note 18, *"Related party transactions"*, for further details.

The loss from discontinued operations presented in the consolidated statements of income (loss) and comprehensive income (loss) consist of the following for the year ended December 31, 2018:

	2018 $
Revenues	
Gross premiums written	706,224
Reinsurance premiums ceded	(60,964)
Net premiums written	645,260
Change in unearned premiums	(285,116)
Net premiums earned	360,144
Net investment income	12,161
Other revenues	8,790
Total revenues	381,095
Expenses	
Losses and loss expenses	281,767
Policy acquisition costs	35,220
General and administrative expenses	87,438
Share compensation expenses	6,687
Other expenses	11,532
Total expenses	422,644
Loss from discontinued operations	**(41,549)**
Income tax benefit	10,061
Loss from discontinued operations, net of tax benefit	**(31,488)**

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5. Discontinued operations (continued)

Total operating and investing cash flows of the discontinued operations for the year ended December 31, 2018 were $30,765 and $(43,587), respectively.

6. Investments

The amortized cost (or cost) and fair value of the Company's investments as at December 31, 2019 and 2018 were as follows:

	2019		2018	
	Amortized cost or Cost $	Fair value $	Amortized cost or Cost $	Fair value $
U.S. government and government agency	283,358	286,962	359,016	358,018
Non-U.S. government and government agency	120,228	121,954	83,599	83,183
U.S. states, municipalities and political subdivisions	84,503	85,723	59,743	59,220
Agency residential mortgage-backed securities	507,259	514,153	425,339	416,801
Non-agency residential mortgage-backed securities	133,393	134,450	25,902	25,415
U.S. corporate	776,433	793,700	754,395	741,515
Non-U.S. corporate	182,066	186,360	165,877	163,664
Bank loans	5,056	4,652	5,109	5,083
Asset-backed securities	426,462	427,225	385,997	382,056
Commercial mortgage-backed securities	235,441	236,635	199,614	195,968
Total fixed maturities	**2,754,199**	**2,791,814**	**2,464,591**	**2,430,923**
Short-term investments	**62,794**	**62,794**	**94,624**	**94,624**
Other investments				
Hedge funds	3,549	11,492	6,672	15,123
Private equity investments	124,777	221,200	111,270	187,588
Fixed income investment funds	48,725	49,706	149,344	149,344
Total other investments	**177,051**	**282,398**	**267,286**	**352,055**
Total investments	**2,994,044**	**3,137,006**	**2,826,501**	**2,877,602**

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

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6. Investments (continued)

Fixed maturity investments

The following table sets forth certain information regarding Standard & Poor's credit quality ratings (or an equivalent rating with another recognized rating agency) of the Company's fixed maturity investments as at December 31, 2019 and 2018:

	2019		2018	
	Fair value $	Percentage of total %	Fair value $	Percentage of total %
AAA	1,385,098	49.6	1,307,844	53.8
AA	291,051	10.4	182,282	7.5
A	620,946	22.3	502,253	20.7
BBB	412,252	14.8	406,770	16.7
Total investment grade fixed maturities	**2,709,347**	**97.1**	**2,399,149**	**98.7**
BB	23,641	0.8	18,141	0.7
B	3,284	0.1	-	0.0
CCC	121	0.0	134	0.0
NR	55,421	2.0	13,499	0.6
Total non-investment grade fixed maturities	**82,467**	**2.9**	**31,774**	**1.3**
Total fixed maturities	**2,791,814**	**100.0**	**2,430,923**	**100.0**

The amortized cost and fair values for the Company's fixed maturity investments held at December 31, 2019 and 2018 are shown below by contractual maturity. Actual maturity may differ from contractual maturity due to prepayment rights associated with certain investments.

	2019		2018	
	Amortized cost or Cost $	Fair value $	Amortized cost or Cost $	Fair value $
Due in one year or less	197,860	198,368	174,867	173,911
Due after one year through five years	1,035,041	1,051,880	1,065,403	1,054,505
Due after five years through ten years	123,515	129,521	101,029	100,263
Due after ten years	95,228	99,581	86,440	82,004
	1,451,644	1,479,350	1,427,739	1,410,683
Asset-backed and mortgage-backed securities	1,302,555	1,312,464	1,036,852	1,020,240
Total fixed maturities	**2,754,199**	**2,791,814**	**2,464,591**	**2,430,923**

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

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6. Investments (continued)

Other investments

The following tables set forth certain information regarding the Company's other investment portfolio as at December 31, 2019 and 2018:

	2019		2018	
	Fair value	Investments with redemption restrictions	Fair value	Investments with redemption restrictions
	$	$	$	$
Hedge funds	11,492	11,492	15,123	15,123
Private equity investments	221,200	221,200	187,588	187,588
Fixed income investment funds	49,706	49,706	149,344	149,344
Total other investments	**282,398**	**282,398**	**352,055**	**352,055**

Certain debt-like investments totalling $35,776 (December 31, 2018: $139,199) are either rated or consist of underlying securities or instruments which carry credit ratings issued by nationally recognized statistical rating organizations. Other equity-like investments totalling $246,622 (December 31, 2018: $212,856) are unrated given the nature of their underlying assets, such as private equity investments, and as such do not carry credit ratings.

The Company's other investments are subject to redemption restrictions. Distributions from these funds will be received as the underlying investments of the funds are liquidated. Currently, it is not known to the Company when these underlying assets will be sold by their investment managers. However, it is estimated that the majority of the underlying assets of the investments will liquidate over five to ten-year periods from inception of the funds.

The Company's maximum exposure to any of its other investments is limited to the invested amounts and any remaining capital commitments. Refer to Note 17, *"Commitments and contingencies"*, for further details. As at December 31, 2019, the Company does not have any plans to sell any of the other investments listed above.

Notes to the consolidated financial statements

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6. Investments (continued)

Net investment income

Net investment income during the years ended December 31, 2019 and 2018 was derived from the following sources:

	2019 $	2018 $
Fixed maturities and short-term investments	115,082	137,041
Cash and cash equivalents	10,359	4,938
Other investments	4,046	13,116
Dividends from equities	-	622
Securities lending income	-	10
Total gross investment income	129,487	155,727
Investment expenses	(2,934)	(6,050)
Total net investment income	**126,553**	**149,677**

Net investment income from other investments includes distributed and undistributed net income from certain fixed income investment funds.

Net realized and change in net unrealized gains (losses) on investments

The following represents an analysis of net realized and change in net unrealized gains (losses) on investments for the years ended December 31, 2019 and 2018:

	2019		
	Fixed maturities $	**Other investments** $	**Total** $
Gross realized gains	4,357	-	4,357
Gross realized losses	(1,899)	-	(1,899)
Net realized gain on investments	2,458	-	2,458
Change in net unrealized gains on investments	71,309	20,094	91,403
Total net realized and unrealized gains on investments	**73,767**	**20,094**	**93,861**

	2018		
	Fixed maturities $	**Other investments** $	**Total** $
Gross realized gains	4,106	867	4,973
Gross realized losses	(48,960)	(8)	(48,968)
Net realized (losses) gains on investments	(44,854)	859	(43,995)
Change in net unrealized (losses) gains on investments	(15,974)	64,370	48,396
Total net realized and unrealized (losses) gains on investments	**(60,828)**	**65,229**	**4,401**

Pledged investments

As at December 31, 2019, the Company had $1,683,429 (December 31, 2018: $1,617,021) of cash and cash equivalents and fixed maturity investments that were pledged and held in trust during the normal course of business. Pledged assets are generally for the benefit of the Company's cedants and policyholders and to facilitate the accreditation of the Company and its operating subsidiary, Validus Reinsurance (Switzerland) Ltd ("Validus Re Swiss"), as alien reinsurers by certain regulators.

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7. Fair value investments

Classification within the fair value hierarchy

Fair value is defined as the price to sell an asset or transfer a liability in an orderly transaction between market participants. Under U.S. GAAP, a company must determine the appropriate level in the fair value hierarchy for each fair value measurement. The fair value hierarchy prioritizes the inputs, which refer broadly to assumptions market participants would use in pricing an asset or liability, into three levels. It gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities and the lowest priority to unobservable inputs. The level in the fair value hierarchy within which a fair value measurement in its entirety falls is determined based on the lowest level input that is significant to the fair value measurement in its entirety.

The three levels of the fair value hierarchy are described below:

Level 1 - Fair values are measured based on unadjusted quoted prices in active markets for identical assets or liabilities that we have the ability to access.

Level 2 - Fair values are measured based on quoted prices in active markets for similar assets or liabilities, quoted prices for identical assets or liabilities in inactive markets, or for which significant inputs are observable (e.g., interest rates, yield curves, prepayment speeds, default rates, loss severities, etc.) or can be corroborated by observable market data.

Level 3 - Fair values are measured based on unobservable inputs that reflect the Company's own judgments about assumptions where there is little, if any, market activity for that asset or liability that market participants might use.

The availability of observable inputs can vary from financial instrument to financial instrument and is affected by a wide variety of factors including, for example, the type of financial instrument, whether the financial instrument is new and not yet established in the marketplace, and other characteristics particular to the instrument. To the extent that valuation is based on models or inputs that are less observable or unobservable in the market, the determination of fair value requires significantly more judgment.

Accordingly, the degree of judgment exercised by management in determining fair value is greatest for instruments categorized in Level 3. In periods of market dislocation, the observability of prices and inputs may be reduced for many instruments. This may lead the Company to change the selection of the valuation technique (for example, from market to cash flow approach) or to use multiple valuation techniques to estimate the fair value of a financial instrument. These circumstances could cause an instrument to be reclassified between levels within the fair value hierarchy.

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7. Fair value investments (continued)

Classification within the fair value hierarchy (continued)

At December 31, 2019, the Company's investments were allocated between Levels 1, 2 and 3 as follows:

	2019				
	Level 1 $	Level 2 $	Level 3 $	Fair value based on NAV practical expedient [a] $	Total $
U.S. government and government agency	-	286,962	-	-	286,962
Non-U.S. government and government agency	-	121,954	-	-	121,954
U.S. states, municipalities and political subdivisions	-	85,723	-	-	85,723
Agency residential mortgage-backed securities	-	514,153	-	-	514,153
Non-agency residential mortgage-backed securities	-	134,450	-	-	134,450
U.S. corporate	-	793,700	-	-	793,700
Non-U.S. corporate	-	186,360	-	-	186,360
Bank loans	-	-	4,652	-	4,652
Asset-backed securities	-	427,225	-	-	427,225
Commercial mortgage-backed securities	-	236,635	-	-	236,635
Total fixed maturities	**-**	**2,787,162**	**4,652**	**-**	**2,791,814**
Short-term investments	**62,794**	**-**	**-**	**-**	**62,794**
Other investments					
Hedge funds	-	-	-	11,492	11,492
Private equity investments	-	-	-	221,200	221,200
Fixed income investment funds	-	-	-	49,706	49,706
Total other investments	**-**	**-**	**-**	**282,398**	**282,398**
Total investments	**62,794**	**2,787,162**	**4,652**	**282,398**	**3,137,006**

[a] In accordance with ASC Topic 820 *"Fair Value Measurements,"* investments measured at fair value using the net asset value ("NAV") per share (or its equivalent) practical expedient have not been classified in the fair value hierarchy.

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7. Fair value investments (continued)

Classification within the fair value hierarchy (continued)

At December 31, 2018, the Company's investments were allocated between Levels 1, 2 and 3 as follows:

	2018				
	Level 1 $	Level 2 $	Level 3 $	Fair value based on NAV practical expedient [a] $	Total $
U.S. government and government agency	-	358,018	-	-	358,018
Non-U.S. government and government agency	-	83,183	-	-	83,183
U.S. states, municipalities and political subdivisions	-	59,220	-	-	59,220
Agency residential mortgage-backed securities	-	416,801	-	-	416,801
Non-agency residential mortgage-backed securities	-	25,415	-	-	25,415
U.S. corporate	-	741,515	-	-	741,515
Non-U.S. corporate	-	163,664	-	-	163,664
Bank loans	-	-	5,083	-	5,083
Asset-backed securities	-	382,056	-	-	382,056
Commercial mortgage-backed securities	-	195,968	-	-	195,968
Total fixed maturities	**-**	**2,425,840**	**5,083**	**-**	**2,430,923**
Short-term investments	**94,624**	**-**	**-**	**-**	**94,624**
Other investments					
Hedge funds	-	-	-	15,123	15,123
Private equity investments	-	-	-	187,588	187,588
Fixed income investment funds	-	-	-	149,344	149,344
Total other investments	**-**	**-**	**-**	**352,055**	**352,055**
Total investments	**94,624**	**2,425,840**	**5,083**	**352,055**	**2,877,602**

[a] In accordance with ASC Topic 820 *"Fair Value Measurements,"* investments measured at fair value using the net asset value ("NAV") per share (or its equivalent) practical expedient have not been classified in the fair value hierarchy.

At December 31, 2019, Level 3 investments totalled $4,652 (December 31, 2018: $5,083), representing 0.1% (December 31, 2018: 0.2%) of total investments.

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7. Fair value investments (continued)

Valuation techniques

There have been no material changes in the Company's valuation techniques during the period, or periods, represented by these Consolidated Financial Statements. The following methods and assumptions were used in estimating the fair value of each class of financial instrument recorded in the Consolidated Balance Sheets.

Fixed maturity investments

In general, valuation of the Company's fixed maturity investment portfolio is provided by pricing services, such as index providers and pricing vendors, as well as broker quotations. The pricing vendors provide valuations for a high volume of liquid securities that are actively traded. For securities that do not trade on an exchange, the pricing services generally utilize market data and other observable inputs in matrix pricing models to determine month end prices. Prices are generally verified using third party data. Index providers generally utilize centralized trade reporting networks, available market makers and statistical techniques.

In general, broker-dealers value securities through their trading desks based on observable inputs. The methodologies include mapping securities based on trade data, bids or offers, observed spreads, and performance on newly issued securities. Broker-dealers also determine valuations by observing secondary trading of similar securities. Prices obtained from broker quotations are considered non-binding, however, they are based on observable inputs and by observing secondary trading of similar securities obtained from active, non-distressed markets. The Company considers these Level 2 inputs as they are corroborated with other market observable inputs. The techniques generally used to determine the fair value of the Company's fixed maturity investments are detailed below by asset class.

U.S. government and government agency

U.S. government and government agency securities consist primarily of debt securities issued by the U.S. Treasury and mortgage pass-through agencies such as the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation and the Government National Mortgage Association. Fixed maturity investments included in U.S. government and government agency securities are primarily priced by pricing services. When evaluating these securities, the pricing services gather information from market sources and integrate other observations from markets and sector news. Evaluations are updated by obtaining broker dealer quotes and other market information including actual trade volumes, when available. The fair value of each security is individually computed using analytical models which incorporate option adjusted spreads and other daily interest rate data. As the significant inputs used to price these securities are observable, the fair value of these investments are classified as Level 2.

Non-U.S. government and government agency

Non-U.S. government and government agency securities consist of debt securities issued by non-U.S. governments and their agencies along with supranational organizations (also known as sovereign debt securities). Securities held in these sectors are primarily priced by pricing services who employ proprietary discounted cash flow models to value the securities. Key quantitative inputs for these models are daily observed benchmark curves for treasury, swap and high issuance credits. The pricing services then apply a credit spread for each security which is developed by in-depth and real time market analysis. For securities in which trade volume is low, the pricing services utilize data from more frequently traded securities with similar attributes. These models may also be supplemented by daily market and credit research for international markets. As the significant inputs used to price these securities are observable, the fair value of these investments are classified as Level 2.

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7. Fair value investments (continued)

Valuation techniques (continued)

U.S. states, municipalities and political subdivisions

The Company's U.S. states, municipalities and political subdivisions portfolio contains debt securities issued by U.S. domiciled state and municipal entities. These securities are generally priced by independent pricing services using the techniques described for U.S. government and government agency securities described above. As the significant inputs used to price these securities are observable, the fair value of these investments are classified as Level 2.

Agency residential mortgage-backed securities

The Company's agency residential mortgage-backed investments are primarily priced by pricing services using a mortgage pool specific model which utilizes daily inputs from the active to be announced market which is very liquid, as well as the U.S. treasury market. The model also utilizes additional information, such as the weighted average maturity, weighted average coupon and other available pool level data which is provided by the sponsoring agency. Valuations are also corroborated with daily active market quotes. As the significant inputs used to price these securities are observable, the fair value of these investments are classified as Level 2.

Non-agency residential mortgage-backed securities

The Company's non-agency mortgage-backed investments include non-agency prime residential mortgage-backed fixed maturity investments. The Company has no fixed maturity investments classified as sub-prime held in its fixed maturity investments portfolio. Securities held in these sectors are primarily priced by pricing services using an option adjusted spread model or other relevant models, which principally utilize inputs including benchmark yields, available trade information or broker quotes, and issuer spreads. The pricing services also review collateral prepayment speeds, loss severity and delinquencies among other collateral performance indicators for the securities valuation, when applicable. As the significant inputs used to price these securities are observable, the fair value of these investments are classified as Level 2.

U.S. corporate

U.S. corporate debt securities consist primarily of investment-grade debt of a wide variety of U.S. corporate issuers and industries. The Company's corporate fixed maturity investments are primarily priced by pricing services. When evaluating these securities, the pricing services gather information from market sources regarding the issuer of the security and obtain credit data, as well as other observations, from markets and sector news. Evaluations are updated by obtaining broker dealer quotes and other market information including actual trade volumes, when available. The pricing services also consider the specific terms and conditions of the securities, including any specific features which may influence risk. In certain instances, securities are individually evaluated using a spread which is added to the U.S. treasury curve or a security specific swap curve as appropriate. As the significant inputs used to price these securities are observable, the fair value of these investments are classified as Level 2.

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7. Fair value investments (continued)

Valuation techniques (continued)

Non-U.S. corporate

Non-U.S. corporate debt securities consist primarily of investment-grade debt of a wide variety of non-U.S. corporate issuers and industries. The Company's non-U.S. corporate fixed maturity investments are primarily priced by pricing services. When evaluating these securities, the pricing services gather information from market sources regarding the issuer of the security and obtain credit data, as well as other observations, from markets and sector news. Evaluations are updated by obtaining broker dealer quotes and other market information including actual trade volumes, when available. The pricing services also consider the specific terms and conditions of the securities, including any specific features which may influence risk. As the significant inputs used to price these securities are observable, the fair value of these investments are classified as Level 2.

Bank loans

Included in the bank loan portfolio is a collection of loan participations held through an intermediary. A third party pricing service provides monthly valuation reports for each loan and participation using a combination of quotations from loan pricing services, leveraged loan indices or market price quotes obtained directly from the intermediary. Significant unobservable inputs used to price these securities include credit spreads and default rates. Therefore, the fair value of these investments are classified as Level 3.

Asset-backed securities

Asset backed securities include mostly investment-grade debt securities backed by pools of loans with a variety of underlying collateral, including automobile loan receivables, student loans, credit card receivables, and collateralized loan obligations originated by a variety of financial institutions. Securities held in these sectors are primarily priced by pricing services. The pricing services apply dealer quotes and other available trade information such as bids and offers, prepayment speeds which may be adjusted for the underlying collateral or current price data, the U.S. treasury curve and swap curve as well as cash settlement. The pricing services determine the expected cash flows for each security held in this sector using historical prepayment and default projections for the underlying collateral and current market data. In addition, a spread is applied to the relevant benchmark and used to discount the cash flows noted above to determine the fair value of the securities held in this sector. As the significant inputs used to price these securities are observable, the fair value of these investments are classified as Level 2.

Commercial mortgage-backed securities

Commercial mortgage backed securities are investment-grade debt primarily priced by pricing services. The pricing services apply dealer quotes and other available trade information such as bids and offers, prepayment speeds which may be adjusted for the underlying collateral or current price data, the U.S. treasury curve and swap curve as well as cash settlement. The pricing services determine the expected cash flows for each security held in this sector using historical prepayment and default projections for the underlying collateral and current market data. In addition, a spread is applied to the relevant benchmark and used to discount the cash flows noted above to determine the fair value of the securities held in this sector. As the significant inputs used to price these securities are observable, the fair value of these investments are classified as Level 2.

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

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7. Fair value investments (continued)

Valuation techniques (continued)

Short-term investments

Short-term investments consist primarily of highly liquid securities, all with maturities of less than one year from the date of purchase. The fair value of the portfolio is generally determined using amortized cost which approximates fair value. As the highly liquid money market-type funds are actively traded, the fair value of these investments are classified as Level 1.

Other investments

Hedge funds

The hedge fund's administrator provides quarterly NAVs with a three-month delay in valuation. The fair value of this investment is measured using the NAV practical expedient and therefore has not been categorized within the fair value hierarchy.

Private equity investments

The private equity funds provide quarterly or semi-annual partnership capital statements with a three- or six-month delay which are used as a basis for valuation. These private equity investments vary in investment strategies and are not actively traded in any open markets. The fair value of these investments are measured using the NAV practical expedient and therefore have not been categorized within the fair value hierarchy.

Fixed income investment funds

The fair value of the Company's investment funds is based on the NAV of the fund as reported by the independent fund administrator. The fund's administrators provide a monthly reported NAV with a one or three month delay in their valuation. The fair value of these investments are measured using the NAV practical expedient and therefore have not been categorized within the fair value hierarchy. None of these investments are probable of being sold at amounts different than their NAVs.

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7. Fair value investments (continued)

Level 3 investments

The following table presents a reconciliation of the beginning and ending balances for bank loans measured at fair value on a recurring basis using Level 3 inputs during the years ended December 31, 2019 and 2018:

	2019 $	2018 $
Level 3 investments, beginning of year	5,083	210,065
Purchases	2,130	68,535
Sales	-	(171,985)
Settlements	(2,179)	(94,702)
Realized gains (losses)	22	(12,804)
Change in net unrealized (losses) / gains	(404)	5,974
Level 3 investments, end of year	**4,652**	**5,083**

There were no transfers into or out of Level 3 during the years ended December 31, 2019 or 2018.

8. Investments in operating affiliates and structured notes receivable from AlphaCat ILS fund

Investments in operating affiliates

AlphaCat sidecars

Beginning on May 25, 2011, the Company joined with other investors in capitalizing a series of reinsurance and investment entities, referred to as “sidecars” for the purpose of investing in collateralized reinsurance and retrocessional contracts. Certain of these sidecars deployed their capital through transactions entered into by AlphaCat Reinsurance Ltd. (“AlphaCat Re”). Each of these entities returns capital once the risk period expires and all losses have been paid out. The AlphaCat sidecars are VIEs and the Company is not the primary beneficiary. Therefore, the Company’s investments in the sidecars have been treated as equity method investments. The Company’s maximum exposure to any of the sidecars is the amount of capital invested at any given time and any remaining capital commitments.

AlphaCat ILS funds

Beginning on December 17, 2012, the Company joined with other investors in capitalizing the AlphaCat ILS funds for the purpose of investing in instruments with returns linked to property catastrophe reinsurance, retrocession and insurance linked securities (“ILS”) contracts. The AlphaCat ILS funds have varying risk profiles and are categorized by the maximum permitted portfolio expected loss of the fund. The maximum permitted portfolio expected loss represents the average annual loss over the set of simulation scenarios divided by the total limit. Lower risk ILS funds are defined as having a maximum permitted portfolio expected loss of less than 7%, whereas higher risk ILS funds have a maximum permitted portfolio expected loss of 7% or greater. The AlphaCat ILS funds primarily deploy their capital through transactions entered into by AlphaCat Re and AlphaCat Master Fund Ltd. The AlphaCat ILS funds are VIEs and the Company is not the primary beneficiary. Therefore, the Company’s investments in the funds have been treated as equity method investments.

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8. Investments in operating affiliates and structured notes receivable from AlphaCat ILS fund (continued)

Investments in operating affiliates (continued)

AlphaCat ILS funds (continued)

The Company's maximum exposure to any of the AlphaCat ILS funds is the amount of capital invested at any given time and any remaining capital commitments. Refer to Note 17, *"Commitments and contingencies"*, for further details.

BetaCat ILS funds

The BetaCat ILS funds follow a passive buy-and-hold investment strategy, investing exclusively in catastrophe bonds (principal-at-risk variable rate notes and other event-linked securities, referred to collectively as "Cat Bonds") focused on property and casualty risks and issued under Rule 144A of the Securities Act of 1933, as amended. One of the funds is a VIE and the Company is not the primary beneficiary. Therefore, the Company's investments in this fund have been treated as equity method investments. The Company's maximum exposure to any of the BetaCat ILS funds is the amount of capital invested at any given time. During the year ended December 31, 2019, the Company's investments in BetaCat ILS funds have been fully redeemed.

The following tables present a reconciliation of the beginning and ending investments in operating affiliates for the years ended December 31, 2019 and 2018:

	2019				
	AlphaCat sidecars $	AlphaCat ILS Funds - Lower Risk $	AlphaCat ILS Funds - Higher Risk $	BetaCat ILS Funds $	Total $
Balance, beginning of year	4,242	64,865	47,061	25,263	141,431
Purchase of shares	-	-	15,000	-	15,000
Redemption of shares / distributions	(523)	(16,500)	(963)	(23,181)	(41,167)
(Loss) income from operating affiliates	(1,483)	7,587	4,686	(2,082)	8,708
Balance, end of year	**2,236**	**55,952**	**65,784**	**-**	**123,972**

	2018				
	AlphaCat sidecars $	AlphaCat ILS Funds - Lower Risk $	AlphaCat ILS Funds - Higher Risk $	BetaCat ILS Funds $	Total $
Balance, beginning of year	6,247	72,783	41,153	24,878	145,061
Purchase of shares	-	-	11,800	-	11,800
Redemption of shares / distributions	(2,497)	(8,307)	(3,416)	-	(14,220)
Income (loss) from operating affiliates	492	389	(2,476)	385	(1,210)
Balance, end of year	**4,242**	**64,865**	**47,061**	**25,263**	**141,431**

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

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8. Investments in operating affiliates and structured notes receivable from AlphaCat ILS fund (continued)

Investments in operating affiliates (continued)

The following table presents the Company's investments in operating affiliates as at December 31, 2019:

	2019			
	Cost	Voting ownership	Equity ownership	Carrying value
	$	%	%	$
AlphaCat sidecars	2,632	(a)	(b)	2,236
AlphaCat ILS Funds - Lower Risk	27,665	n/a	(c)	55,952
AlphaCat ILS Funds - Higher Risk	69,237	n/a	(d)	65,784
Total	**99,534**			**123,972**

(a) Voting ownerships in the AlphaCat sidecars were between 40.0% and 43.7%.
(b) Equity ownerships in the AlphaCat sidecars were between 20.0% and 22.3%.
(c) Equity ownerships in the lower risk AlphaCat ILS funds were between 2.4% and 9.9%.
(d) Equity ownerships in the higher risk AlphaCat ILS funds were between 3.6% and 6.7%.

The following table presents the Company's investments in operating affiliates as at December 31, 2018:

	2018			
	Cost	Voting ownership	Equity ownership	Carrying value
	$	%	%	$
AlphaCat sidecars	2,870	(a)	(b)	4,242
AlphaCat ILS Funds - Lower Risk	44,165	n/a	(c)	64,865
AlphaCat ILS Funds - Higher Risk	55,019	n/a	(d)	47,061
BetaCat ILS Funds	21,686	0.0	30.2	25,263
Total	**123,740**			**141,431**

(a) Voting ownerships in the AlphaCat sidecars were between 40.0% and 43.7%.
(b) Equity ownerships in the AlphaCat sidecars were between 19.7% and 22.3%.
(c) Equity ownerships in the lower risk AlphaCat ILS funds were between 4.0% and 9.7%.
(d) Equity ownerships in the higher risk AlphaCat ILS funds were between 3.7% and 9.5%.

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8. Investments in operating affiliates and structured notes receivable from AlphaCat ILS fund (continued)

Structured notes receivable from AlphaCat ILS fund

During 2019 and 2018, one of the AlphaCat ILS funds (the "Fund") issued both common shares and structured notes to the Company in order to capitalize the Fund. The structured notes do not have a stated maturity date since repayment is dependent on the settlement and income or loss of the underlying transactions. The structured notes rank senior to the common shares of the Fund and earn an interest rate of 6.25% (2018: 6.5%) per annum, payable on a cumulative basis in arrears.

The following table presents a reconciliation of the beginning and ending structured notes receivable from the Fund as at December 31, 2019 and 2018:

	2019 $	2018 $
Structured notes receivable from the Fund, beginning of year	11,610	10,000
Issuance of structured notes receivable	10,000	7,867
Redemptions of structured notes receivable	(10,701)	(6,257)
Structured notes receivable from the Fund, end of year	**10,909**	**11,610**

9. Derivative instruments

Derivatives not designated as hedging instruments

The following tables summarize information on the classification and amount of the fair value of derivatives not designated as hedging instruments within the Company's Consolidated Balance Sheets as at December 31, 2019 and 2018:

	2019		
Derivatives not designated as hedging instruments	**Notional exposure** $	**Asset derivative at fair value [(a)]** $	**Liability derivative at fair value [(a)]** $
Foreign currency forward contracts	106,741	604	630

	2018		
Derivatives not designated as hedging instruments	**Notional exposure** $	**Asset derivative at fair value [(a)]** $	**Liability derivative at fair value [(a)]** $
Foreign currency forward contracts	203,207	1,733	976

(a) Asset and liability derivatives are classified within Other assets and Accounts payable and accrued expenses, respectively, on the Consolidated Balance Sheets.

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

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9. Derivative instruments (continued)

Derivatives not designated as hedging instruments (continued)

The foreign currency forward contracts are valued on the basis of standard industry valuation models. The inputs to these models are based on observable market inputs, and as such the fair values of these contracts are classified as Level 2.

The following table summarizes information on the classification and net impact on earnings, recognized in the Company's Consolidated Statements of Income and Comprehensive Income relating to derivatives that were not designated as hedging instruments during the years ended December 31, 2019 and 2018:

Derivatives not designated as hedging instruments	Classification of gains recognized in earnings	2019 $	2018 $
Foreign currency forward contracts	Foreign exchange gains	1,602	3,483

Balance sheet offsetting

There was no balance sheet offsetting activity as at December 31, 2019 and 2018.

Commencing in 2019, the Company engaged in the above noted derivative transactions with an affiliated AIG entity under International Swaps and Derivatives Association, Inc. ("ISDA") master agreements, which establish terms that apply to all transactions. As part of the agreements, collateral is provided as security for the foreign currency forward contracts. As at December 31, 2019, collateral held as security for foreign currency forward contracts amounted to $460 (December 31, 2018: $nil). On a periodic basis, the amounts receivable from or payable to the counterparties are settled in cash on a net basis.

For the year ended December 31, 2018, derivative transactions were conducted under third party agreements. No collateral was provided as part of these agreements.

10. Premiums receivable and funds withheld

Premiums receivable

Premiums receivable is composed of premiums in the course of collection and premiums accrued but unbilled, both of which are presented net of commissions and brokerage. It is common practice in the reinsurance industry for premiums to be paid on an installment basis, therefore significant amounts will be considered unbilled and will not become due until a future date, which is typically no later than expiration of the underlying coverage period. The following is a breakdown of the components of premiums receivable as at December 31, 2019 and 2018:

	2019		
	Premiums in course of collection $	Premiums accrued but unbilled $	Total $
Premiums receivable, beginning of year	29,758	515,786	545,544
Change during the year	(9,640)	181,622	171,982
Premiums receivable, end of year	**20,118**	**697,408**	**717,526**

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

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10. Premiums receivable and funds withheld (continued)

Premiums receivable (continued)

	2018		
	Premiums in course of collection	**Premiums accrued but unbilled**	**Total**
	$	$	$
Premiums receivable, beginning of year	227,362	433,187	660,549
Change during the year	(197,604)	82,599	(115,005)
Premiums receivable, end of year	**29,758**	**515,786**	**545,544**

Funds withheld

The Company writes and cedes certain business on a funds withheld basis. Under these contractual arrangements, the cedants withhold premiums for the purpose of paying claims. The remaining net funds will be remitted after all policies have expired and all claims have been settled.

Funds withheld assumed and ceded as at December 31, 2019 were $44,247 and $161, respectively (December 31, 2018: $1,794,652 and $181,682, respectively). On December 31, 2019, the Company commuted certain reinsurance agreements assumed from its affiliate, Talbot 2002 Underwriting Capital Ltd. Refer to Note 18, *"Related party transactions"*, for further information.

11. Reserves for losses and loss expenses

The following table summarizes the Company's reserve for losses and loss expenses as at December 31, 2019 and 2018:

	2019	2018
	$	$
Case reserves	913,954	1,398,845
IBNR	1,810,869	2,728,515
Reserve for losses and loss expenses	**2,724,823**	**4,127,360**

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

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11. Reserves for losses and loss expenses (continued)

The following table represents an analysis of paid and unpaid losses and loss expenses incurred and a reconciliation of the beginning and ending unpaid losses and loss expenses for the years ended December 31, 2019 and 2018:

	2019 $	2018 $
Reserve for losses and loss expenses, beginning of year	4,127,360	3,199,051
Loss reserves recoverable	(1,291,891)	(647,822)
Net reserves for losses and loss expenses, beginning of year	2,835,469	2,551,229
Loss reserves commuted during the year [(a)]	(1,113,644)	-
Increase (decrease) in net reserves for losses and loss expenses in respect of losses occurring in:		
Current year	1,276,172	1,437,845
Prior years	(122,145)	(159,869)
Total incurred losses and loss expenses	1,154,027	1,277,976
Foreign exchange losses (gains)	9,470	(26,125)
Less net losses and loss expenses paid in respect of losses occurring in:		
Current year	(216,317)	(194,242)
Prior years	(1,063,889)	(773,369)
Total net paid losses	(1,280,206)	(967,611)
Net reserve for losses and loss expenses, end of year	1,605,116	2,835,469
Loss reserves recoverable	1,119,707	1,291,891
Reserve for losses and loss expenses, end of year	**2,724,823**	**4,127,360**

[(a)] On December 31, 2019, the Company commuted certain reinsurance agreements assumed from its affiliate, Talbot 2002 Underwriting Capital Ltd. Refer to Note 18, *"Related party transactions"*, for further information.

Incurred losses and loss expenses comprise:

	2019 $	2018 $
Gross losses and loss expenses	1,489,467	2,071,641
Reinsurance recoveries	(335,440)	(793,665)
Net incurred losses and loss expenses	**1,154,027**	**1,277,976**

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

Expressed in thousands of U.S. dollars, except share amounts

11. Reserves for losses and loss expenses (continued)

The net favourable development on prior accident years by line of business is as follows:

	Line of business			
	Property	Specialty - Short-tail	Specialty - Other	Total
	$	$	$	$
Year ended December 31, 2019	(5,614)	(75,590)	(40,941)	(122,145)
Year ended December 31, 2018	(36,982)	(105,122)	(17,765)	(159,869)

The net favourable development on prior accident years for the years ended December 31, 2019 and 2018 was primarily driven by favourable development on attritional losses.

Short Duration Contract Disclosures

The Company has disaggregated its information presented in the tables below by lines of business. The Company has presented the below development tables for all accident years shown using exchange rates as at December 31, 2019. All accident years prior to the current year have been presented using the current year exchange rate.

Loss development tables

The loss development tables have been produced by lines of business for accident years 2012 through to 2019. The Company determined that it was impracticable to produce IBNR by accident year by lines of business for years prior to 2012 as the necessary data in original currency was not readily available. In addition, the Company provides treaty reinsurance products on a global basis for all of its lines of business and does not receive or maintain claims count information associated with its reserved claims. As such, the Company has determined that it is impracticable to provide this information.

The net reserves for losses and loss expenses related to the acquisitions of IPC, acquired on September 4, 2009, and Flagstone, acquired on November 30, 2012, have been incorporated in the reserves for losses and loss expenses on a prospective basis. IPC and Flagstone were put into run-off as at the acquisition date of each. The prospective treatment for the acquisition of Flagstone was adopted primarily as a result of the data necessary to produce the loss development tables by accident year and by lines of business not being migrated over on acquisition as it was not requested or received and as a result does not exist within the Company's data systems.

As detailed in Note 5, *"Discontinued operations"*, subsequent to the transfer of Validus Specialty Group, the Company expected to have the continued run-off of pre-existing reinsurance agreements with Western World, most notably the reserve for losses and loss expenses impact of these agreements. On December 16, 2019, the Company's reinsurance agreements with Western World were commuted. Refer to Note 18, "*Related party transactions*", for further details. Due to the run-off nature of these agreements, the "Incurred losses and loss expenses, net of reinsurance", and "Cumulative paid losses and loss expenses, net of reinsurance" related to Western World are included as a reconciliation item in the succeeding tables.

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11. Reserves for losses and loss expenses (continued)

Short Duration Contract Disclosures (continued)

Loss development tables - Property

	Incurred losses and loss expenses, net of reinsurance								December 31, 2019
	Years ended December 31,								
Accident Year	2012 $	2013 $	2014 $	2015 $	2016 $	2017 $	2018 $	2019 $	Total of IBNR reserves plus expected development on reported losses $
	I---------- Unaudited ----------I								
2012	398,369	322,837	310,156	283,296	281,168	279,448	273,267	267,692	10,348
2013	-	177,855	160,203	145,276	136,682	131,772	130,232	127,860	1,137
2014	-	-	110,471	104,285	97,369	98,408	104,180	102,609	8,324
2015	-	-	-	169,323	131,588	112,336	105,448	98,649	3,865
2016	-	-	-	-	175,668	181,157	164,306	151,786	14,649
2017	-	-	-	-	-	429,481	425,319	399,326	29,858
2018	-	-	-	-	-	-	449,206	500,439	107,920
2019	-	-	-	-	-	-	-	320,017	154,467
						Total		1,968,378	

	Cumulative paid losses and loss expenses, net of reinsurance							
	Years ended December 31,							
Accident Year	2012 $	2013 $	2014 $	2015 $	2016 $	2017 $	2018 $	2019 $
	I---------- Unaudited ----------I							
2012	67,726	150,522	202,898	226,241	235,029	239,884	241,929	248,261
2013	-	19,577	66,561	104,579	117,897	122,722	123,974	124,646
2014	-	-	25,788	65,027	80,820	87,462	89,956	91,835
2015	-	-	-	24,268	70,229	85,523	90,708	92,257
2016	-	-	-	-	41,860	101,241	119,309	130,178
2017	-	-	-	-	-	151,804	321,472	354,812
2018	-	-	-	-	-	-	24,097	347,134
2019	-	-	-	-	-	-	-	11,159
						Total		1,400,282
	Reserves for losses and loss expenses, before 2012, net of reinsurance [a]							84,166
	Reserves for losses and loss expenses, net of reinsurance							**652,262**

[a] Includes reserves for losses and loss expense, net of reinsurance, of $52,008 and $8,022 related to Flagstone and IPC, respectively.

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11. Reserves for losses and loss expenses (continued)

Short Duration Contract Disclosures (continued)

Loss development tables - Specialty - Short-tail

	Incurred losses and loss expenses, net of reinsurance								December 31, 2019
	Years ended December 31,								
Accident Year	2012 $	2013 $	2014 $	2015 $	2016 $	2017 $	2018 $	2019 $	Total of IBNR reserves plus expected development on reported losses $
	I---------- Unaudited ----------I								
2012	244,080	277,729	274,386	266,907	264,647	263,233	264,463	264,915	13,315
2013	-	255,391	263,479	242,641	236,898	236,986	235,169	233,088	994
2014	-	-	271,712	246,616	233,795	228,967	226,389	224,316	3,016
2015	-	-	-	418,521	388,583	357,577	346,736	335,633	10,891
2016	-	-	-	-	331,548	281,661	267,939	261,185	26,146
2017 [a]	-	-	-	-	-	541,159	494,440	464,777	33,509
2018	-	-	-	-	-	-	286,526	291,645	85,422
2019	-	-	-	-	-	-	-	316,736	186,359
							Total	2,392,295	

	Cumulative paid losses and loss expenses, net of reinsurance							
	Years ended December 31,							
Accident Year	2012 $	2013 $	2014 $	2015 $	2016 $	2017 $	2018 $	2019 $
	I---------- Unaudited ----------I							
2012	29,998	136,200	193,879	215,490	224,723	232,945	240,977	242,635
2013	-	111,446	188,209	205,407	212,962	224,761	227,692	228,434
2014	-	-	101,787	172,812	191,951	197,630	202,053	206,447
2015	-	-	-	181,059	248,461	302,550	311,552	317,456
2016	-	-	-	-	155,863	207,276	197,194	218,810
2017 [a]	-	-	-	-	-	218,596	376,282	411,082
2018	-	-	-	-	-	-	59,117	161,356
2019	-	-	-	-	-	-	-	88,935
						Total		1,875,155
	Reserves for losses and loss expenses, before 2012, net of reinsurance [b]							79,560
	Reserves for losses and loss expenses, net of reinsurance							**596,700**

[a] The 2017 accident year includes incurred losses and loss expenses, and cumulative paid losses and loss expenses, net of reinsurance, of $209,806 and $209,806, respectively, related to CRS (2018: $209,856 and $209,856, respectively).

[b] Includes reserves for losses and loss expense, net of reinsurance, of $32,586 and $5,092 related to Flagstone and IPC, respectively.

Notes to the consolidated financial statements

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11. Reserves for losses and loss expenses (continued)

Short Duration Contract Disclosures (continued)

Loss development tables - Specialty - Other

	Incurred losses and loss expenses, net of reinsurance								December 31, 2019
	Years ended December 31,								
Accident Year	2012 $	2013 $	2014 $	2015 $	2016 $	2017 $	2018 $	2019 $	Total of IBNR reserves plus expected development on reported losses $
	I---------- Unaudited ----------I								
2012	6,678	6,465	4,018	2,622	1,988	2,196	2,185	1,404	-
2013	-	4,185	3,057	1,602	331	88	77	75	-
2014	-	-	5,456	4,372	2,130	812	362	286	117
2015	-	-	-	46,897	44,867	42,782	44,903	32,765	1,823
2016	-	-	-	-	96,216	103,998	109,556	84,586	27,439
2017	-	-	-	-	-	158,545	156,708	105,420	41,808
2018	-	-	-	-	-	-	130,743	116,609	92,028
2019	-	-	-	-	-	-	-	147,807	132,326
						Total		488,952	

	Cumulative paid losses and loss expenses, net of reinsurance							
	Years ended December 31,							
Accident Year	2012 $	2013 $	2014 $	2015 $	2016 $	2017 $	2018 $	2019 $
	I---------- Unaudited ----------I							
2012	469	1,558	1,842	1,913	1,900	1,911	1,913	1,913
2013	-	-	53	53	70	70	75	75
2014	-	-	-	2	11	56	78	154
2015	-	-	-	2,497	10,755	18,309	24,977	30,625
2016	-	-	-	-	7,527	17,193	35,818	51,234
2017	-	-	-	-	-	6,536	22,728	42,166
2018	-	-	-	-	-	-	3,016	13,217
2019	-	-	-	-	-	-	-	5,133
						Total		144,517
	Reserves for losses and loss expenses, before 2012, net of reinsurance [a]							4,198
	Reserves for losses and loss expenses, net of reinsurance							**348,633**

[a] Includes reserves for losses and loss expense, net of reinsurance, of $322 and $100 related to Flagstone and IPC, respectively.

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

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11. Reserves for losses and loss expenses (continued)

Reconciliation of loss development information to the reserve for losses and loss expenses

The following table reconciles the loss development information to the Company's reserves for losses and loss expenses as at December 31, 2019:

	2019 $
Reserves for losses and loss expenses, net of reinsurance	
Property	652,262
Specialty - Short-tail	596,700
Specialty - Other	348,633
Total reserves for losses and loss expenses, net of reinsurance	1,597,595
Loss reserves recoverable	
Property	989,959
Specialty - Short-tail	97,757
Specialty - Other	31,991
Total loss reserves recoverable	1,119,707
Unallocated loss expenses	7,500
Other	21
Total reserves for losses and loss expenses	**2,724,823**

Historical loss duration

The following table summarizes the historic average annual percentage pay-out of incurred losses by age, net of reinsurance, as of December 31, 2019:

	Average annual percentage pay-out of incurred losses by age, net of reinsurance (unaudited)									
	December 31, 2019									
	Year 1 %	Year 2 %	Year 3 %	Year 4 %	Year 5 %	Year 6 %	Year 7 %	Year 8 %	Year 9 %	Year 10 %
Property	20.5	42.7	16.7	7.6	2.8	1.5	0.6	2.4	n/a	n/a
Specialty - Short-tail	39.2	30.5	9.6	5.0	3.1	2.1	1.7	0.6	n/a	n/a
Specialty - Other	7.8	29.9	14.5	16.5	6.0	11.2	0.1	0.0	n/a	n/a

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12. Reinsurance

The Company's reinsurance balances recoverable as at December 31, 2019 and 2018 were as follows:

	2019 $	2018 $
Loss reserves recoverable on unpaid		
Case reserves	390,280	212,866
IBNR	729,427	1,079,025
Total loss reserves recoverable	1,119,707	1,291,891
Paid losses recoverable	92,921	18,409
Total reinsurance recoverable	**1,212,628**	**1,310,300**

Effects of reinsurance on premiums written and earned

The effects of reinsurance on net premiums written and earned, and on losses and loss expenses for the years ended December 31, 2019 and 2018 were as follows:

	2019 $	2018 $
Premiums written		
Treaty reinsurance	2,806,989	2,181,736
Ceded	(694,867)	(481,222)
Net premiums written	2,112,122	1,700,514
Premiums earned		
Treaty reinsurance	2,605,074	2,144,573
Ceded	(723,203)	(466,050)
Net premiums earned	1,881,871	1,678,523
Losses and loss expenses		
Treaty reinsurance	1,489,467	2,178,486
Ceded	(335,440)	(900,510)
Net losses and loss expenses	1,154,027	1,277,976

Credit risk

The cession of reinsurance does not legally discharge the Company from its primary liability for the full amount of the reinsurance policies it writes, and the Company is required to pay the loss and bear collection risk regarding reinsurers' obligations under reinsurance and retrocession agreements. Validus records provisions for uncollectible reinsurance recoverable when collection becomes unlikely due to the reinsurer's inability to pay.

To the extent the creditworthiness of the Company's reinsurers were to deteriorate due to adverse events affecting the reinsurance industry, such as a large number of major catastrophes, actual uncollectible amounts could be significantly greater than the Company's provision. Amounts recoverable from reinsurers are estimated in a manner consistent with the underlying loss reserves.

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12. Reinsurance (continued)

Credit risk (continued)

The Company evaluates the financial condition of its reinsurers and monitors concentration of credit risk arising from its exposure to individual reinsurers. The reinsurance program is generally placed with reinsurers whose rating, at the time of placement, was A- or better as rated by Standard & Poor's or the equivalent with other rating agencies. Exposure to a single reinsurer is also controlled with restrictions dependent on rating. As at December 31, 2019, $1,211,364 or 99.9% (December 31, 2018: $1,306,143 or 99.7%) of the Company's reinsurance balances recoverable were either fully collateralized or recoverable from reinsurers rated A- or better.

Information regarding the Company's concentration of credit risk arising from its exposure to individual reinsurers as at December 31, 2019 and 2018 were as follows:

	2019		2018	
	Reinsurance recoverable	Percentage of total	Reinsurance recoverable	Percentage of total
	$	%	$	%
Top 10 reinsurers	1,183,248	97.6	1,280,283	97.7
Other reinsurers' balances > $1,000	23,529	1.9	25,401	1.9
Other reinsurers' balances < $1,000	5,851	0.5	4,616	0.4
Total	**1,212,628**	**100.0**	**1,310,300**	**100.0**

		2019	
		Reinsurance recoverable	Percentage of total
Top 10 reinsurers	**Rating**	$	%
Fully collateralized reinsurers	NR	978,960	80.7
Everest Re	A+	53,604	4.5
Third Point Reinsurance Company Ltd	A-	32,529	2.7
Markel	A	32,455	2.7
Fidelis	A-	18,020	1.5
Chubb	AA	16,227	1.3
Axis Capital Holdings	A+	16,227	1.3
Lloyd's Syndicates	A+	14,673	1.2
Manufacturers P&C Limited	A-	13,847	1.1
BMO Reinsurance Limited	A+	6,706	0.6
Total		**1,183,248**	**97.6**

NR: Not rated

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For the years ended December 31, 2019 and 2018

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12. Reinsurance (continued)

Credit risk (continued)

		2018	
Top 10 reinsurers	**Rating**	**Reinsurance recoverable** $	**Percentage of total** %
Fully collateralized reinsurers	NR	1,100,601	84.0
Everest Re	A+	42,625	3.2
Markel	A	33,646	2.6
Third Point Reinsurance Company Ltd	A-	22,552	1.7
Chubb	AA	16,822	1.3
Axis Capital Holdings	A+	16,822	1.3
Manufacturers P&C Limited	A-	16,145	1.2
Lloyd's Syndicates	A+	12,788	1.0
BMO Reinsurance Limited	A+	9,872	0.8
Fidelis	A-	8,410	0.6
Total		**1,280,283**	**97.7**

NR: Not rated

13. Share capital

Authorized and issued

The Company's authorized share capital is 1,000,000 common shares with a par value of $1.00 each.

On October 19, 2005, the Company issued 1,000,000 common shares at a price of $1,000.00 each. Proceeds from this issuance were $1,000,000.

Capital contributions and distributions

During the year ended December 31, 2019, the Company received capital contributions from Validus Holdings of $73,441 (2018: $14,202). There were no capital distributions made to Validus Holdings during 2019 and 2018.

Dividends

The Company declared dividends to Validus Holdings of $280,000 during the year ended December 31, 2019 (2018: $908,362).

14. Pension plans

The Company provides pension benefits to eligible employees through various plans which are managed externally and sponsored by the Company. The Company's contributions are expensed as incurred. The Company's expenses for its defined contribution plans for the year ended December 31, 2019 were $942 (2018: $1,381).

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

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15. Debt and financing arrangements

The Company's financing structure is comprised of credit facilities.

Credit facilities

In 2018, certain of the Company's credit facility arrangements were either cancelled or restructured as a result of the acquisition of the Company by AIG.

AIG maintain a committed, revolving syndicated credit facility ("AIG Facility") as a potential source of liquidity for general corporate purposes. The AIG Facility provides for aggregate commitments by the bank syndicate to provide unsecured revolving loans and/or standby letters of credit of up to $4.5 billion without any limit on the type of borrowings and is scheduled to expire in June 2022. The Company is a party to the AIG Facility and certain pre-existing credit facilities were rolled into the AIG Facility upon the acquisition.

As at December 31, 2019, total outstanding credit facilities amounted to $291,804 (2018: $240,507). There were no cash and investments pledged as collateral relating to these credit facilities as at December 31, 2019 and 2018.

Finance expenses

For the year ended December 31, 2019, finance expenses consisted of interest on credit facility fees, bank and other charges.

For the year ended December 31, 2018, finance expenses also included interest on the Junior Subordinated Deferrable Debentures due 2036 and 2037 (respectively, the "Flagstone 2006 Junior Subordinated Deferrable Debentures" and "Flagstone 2007 Junior Subordinated Deferrable Debentures"), which were assumed as part of the acquisition of Flagstone. During October 2018 and December 2018 (the "Redemption Dates"), the Company redeemed all of the outstanding Flagstone Junior Subordinated Deferrable Debentures by paying to the registered holders of such debentures a redemption price equal to 100% of the principal amount of each Junior Subordinated Deferrable Debentures outstanding, plus accrued and unpaid interest thereon, up to, but excluding, the Redemption Dates.

	2019 $	2018 $
Flagstone 2006 Junior Subordinated Deferrable Debentures	-	7,103
Flagstone 2007 Junior Subordinated Deferrable Debentures	-	5,057
Credit facilities	3,481	1,465
Bank and other changes	374	305
Total finance expenses	**3,855**	**13,930**

Notes to the consolidated financial statements

For the years ended December 31, 2019 and 2018

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16. Accumulated other comprehensive income

The changes in accumulated other comprehensive income, by component for the years ended December 31, 2019 and 2018 are as follows:

	2019			
	Minimum pension liability $	Cash flow hedge $	Other $	Total $
Balance, net of tax, beginning of year	-	-	173	173
Other comprehensive loss, net of tax	-	-	-	-
Balance, net of tax, end of year	**-**	**-**	**173**	**173**

	2018			
	Minimum pension liability $	Cash flow hedge $	Other $	Total $
Balance, net of tax, beginning of year	2,719	1,890	173	4,782
Other comprehensive loss, net of tax	(2,719)	(1,890)	-	(4,609)
Balance, net of tax, end of year	**-**	**-**	**173**	**173**

17. Commitments and contingencies

Concentrations of credit risk

The Company underwrites a significant amount of its reinsurance business through three brokers as set out below. There is credit risk associated with payments of reinsurance balances to the Company in regards to these brokers' ability to fulfill their contractual obligations. These brokerage companies are large and well established, and there are no indications they are financially distressed. There was no other broker or reinsured party that accounted for more than 10% of gross premiums written for the periods mentioned.

The following table shows the percentage of gross premiums written through each of these three brokers for the years ended December 31, 2019 and 2018:

Broker	2019 %	2018 %
Marsh & McLennan Companies, Inc.	32.3	32.9
Aon Benfield Group Ltd.	26.9	19.0
Willis Towers Watson Plc	13.4	16.8

Employment agreements

The Company has entered into employment agreements with certain individuals that provide for executive benefits and severance payments under certain circumstances.

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17. Commitments and contingencies (continued)

Lease commitments

The Company leases office space and equipment in various locations across jurisdictions in which the Company operates. As noted in Note 4, *"Recent accounting pronouncements"*, the Company adopted ASU 2016-02, *"Leases (Topic 842)"*, effective January 1, 2019. As of December 31, 2019, the lease liability and corresponding right of use asset reflected in Accounts payable and accrued expenses and Other assets were $1,037 and $1,029, respectively, and the Company made cash payments of $770 in 2019 in connection with these leases. The liability includes non-lease components, such as property taxes and insurance. Some of these leases contain options to renew after a specified period of time at the prevailing market rate. However, renewal options that have not been exercised as of December 31, 2019 are excluded until management attains a reasonable level of certainty. Some leases also include termination options at specified times and term. However, termination options are not reflected in the lease asset and liability balances until they have been exercised.

The weighted average discount rate and lease term assumptions used in determining the liability are 3.3% and 3.0 years, respectively. The primary assumption used to determine the discount rate is the cost of funding for the Company, which is based on the secured borrowing rate for terms similar to the lease term, and for the major financial markets in which AIG operates.

Rent expense for the year ended December 31, 2019 was $846 (2018: $894).

The following table presents the future undiscounted cash flows under lease commitments at December 31, 2019. The primary difference between our undiscounted cash flows and the recognized lease liability is interest expense.

	2019
	$
2020	551
2021	360
2022	161
2023	67
Remaining years after 2024	11
Total	1,150

Funds at Lloyd's

Lloyd's Syndicate 1183 ("Talbot Syndicate"), an affiliate, operates in Lloyd's through a corporate member, Talbot 2002 Underwriting Capital Ltd ("T02"), which is the sole participant in the Syndicate 1183. Lloyd's sets T02's Economic Capital Assessment ("ECA") annually based on the Talbot Syndicate's business plan, rating environment and reserving environment together with input arising from Lloyd's discussions with regulatory and rating agencies, and other parties. This ECA is satisfied by syndicate net assets determined on a basis consistent with Solvency II, an EU directive covering capital adequacy, risk management and regulatory reporting for insurers and additional funds, known as Funds at Lloyd's ("FAL"). Any syndicate net liabilities on a Solvency II basis are required to be funded in addition to the ECA. The Company has provided funds to support the Lloyd's underwriting of fellow AIG subsidiary T02. During 2019, the Company provided FAL comprising cash and investments in the amount of $454,425 (2018: $545,500). In addition to the FAL from the Company, AIG provided FAL by way of letter of credit in the amount of $120,000 during 2019 (2018: $60,000).

The amounts which are provided as FAL are not available for distribution to Validus Holdings for the payment of dividends or distributions to AIG.

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17. Commitments and contingencies (continued)

Funds at Lloyd's (continued)

On December 31, 2019, the reinsurance agreements of the Company assumed from T02 were commuted. Refer to Note 18, "*Related party transactions*", for further information. The commutation effectively ended the Company's commitment to provide FAL in future years.

Investments in operating affiliates

The Company entered into an agreement with an AlphaCat ILS fund whereby it has an assumed capital commitment of $25,000 for each of the years ended December 31, 2019 and 2018. For the 2019 year, the total $25,000 capital commitment was called and funded. For the 2018 year, $19,667 was called by the AlphaCat ILS fund and subsequently funded by the Company. The remaining $5,333 was never called by the AlphaCat ILS fund, therefore the Company's remaining unfunded capital commitment at December 31, 2018 was $nil.

Fixed maturity commitments

At December 31, 2019, the Company had an outstanding commitment to participate in certain secured loan facilities through participation agreements with an established loan originator. The undrawn amount under the revolver facility participations as at December 31, 2019 was $1,203 (December 31, 2018: $2,206).

Other investment commitments

At December 31, 2019, the Company had capital commitments in certain other investments of $418,641 (December 31, 2018: $319,854). The Company's remaining unfunded capital commitment to these investments as at December 31, 2019 was $62,037 (December 31, 2018: $116,099).

18. Related party transactions

The following significant transactions are classified as related party transactions as principals and/or directors of each counterparty are members of the Company's or AIG's board of directors.

Reinsurance agreements

The Company has various reinsurance agreements with its affiliates. The following summarizes the significant balances resulting from these reinsurance agreements:

Reinsurance agreements with AlphaCat (a non-consolidated affiliate)	2019 $	2018 $
Balances during the years ended December 31		
Ceded net premiums earned	144,440	248,540
Recovered losses and loss expenses	13,615	505,254
Earned commissions	16,903	20,026
Balances outstanding as at December 31		
Unearned commissions	2,896	6,013
Paid losses recoverable	69,556	14,895
Prepaid reinsurance	26,645	50,776
Ceded funds withheld	-	181,500
Loss reserves recoverable	480,880	595,701
Reinsurance balances payable	35,231	161,097

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18. Related party transactions (continued)

Reinsurance agreements (continued)

Reinsurance agreements with Talbot Syndicate	2019 $	2018 $
Balances during the years ended December 31		
Assumed net premiums earned	791,248	762,749
Incurred losses and loss expenses	432,929	521,984
Policy acquisition costs	301,722	322,166
Balances outstanding as at December 31		
Premiums receivable	44,570	44,082
Deferred acquisition costs	2,396	91,641
Funds withheld	-	1,517,265
Reserves for losses and loss expenses	43,800	1,191,689
Unearned premiums	10,933	468,179
Reinsurance balances payable	16,656	19,444

On December 31, 2019, the reinsurance agreements of the Company assumed from T02 in relation to the FAL were commuted. Under the commutation agreement, the Company has been released and discharged from all liabilities arising under these reinsurance agreements. The final settlement amount due to the Company from T02 will occur in 2020 upon the completion of the annual accounts of T02 for the year ended December 31, 2019. This amount is not expected to have a material impact on the Consolidated Financial Statements. Other reinsurance agreements in place with Talbot Syndicate remain effective as of December 31, 2019.

Reinsurance agreements with Western World	2019 $	2018 $
Balances during the years ended December 31		
Assumed net premiums earned	165	4,195
Incurred losses and loss expenses	(6,372)	2,181
Policy acquisition costs	61	1,535
Balances outstanding as at December 31		
Premiums receivable	-	251
Reserves for losses and loss expenses	-	124,832
Unearned premiums	-	2
Reinsurance balances payable	-	9,650

On December 16, 2019, the Company's reinsurance agreements with Western World were commuted. Under the commutation agreement, Western World agreed to accept in full satisfaction of the Company's present and future liability under these reinsurance agreements. The Company paid $90,716 as the settlement amount to Western World, resulting in a gain of $9,699 which was accounted as a reduction of loss and loss expenses during the year ended December 31, 2019.

Notes to the consolidated financial statements

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18. Related party transactions (continued)

Reinsurance agreements (continued)

Reinsurance agreements with affiliated subsidiaries of AIG	2019 $	2018 $
Balances during the years ended December 31		
Assumed net premiums earned	3,191	55,014
(Recoveries of) incurred losses and loss expenses	(72,771)	267,935
Policy acquisition costs	1,239	2,114
Balances outstanding as at December 31		
Premiums receivable	4,895	4,375
Deferred acquisition costs	984	420
Funds withheld	79	220,620
Reserves for losses and loss expenses	197,044	299,575
Unearned premiums	2,702	1,591
Reinsurance balances payable	(5,852)	2,254

Derivatives, investments and loans

Derivative agreement

The Company has a derivative agreement in place with an affiliated AIG entity. Refer to Note 9 *"Derivative instruments"* for further details.

Investment management agreement

On January 1, 2019, the Company entered into an investment management agreement with AIG, whereby AIG would assume overall management of the Company's investment portfolio. As part of this agreement, the Company paid $2,142 of investment management expenses to AIG during the year ended December 31, 2019.

Loan receivables

On September 26, 2014, Validus Specialty, Inc., an affiliate, obtained a loan from Flagstone Reinsurance (Luxembourg), SARL, a subsidiary of the Company, with a principal amount of $400,000 bearing an annual interest rate of 5.8% and maturing on September 23, 2024. The outstanding balance as at December 31, 2018 was $405,848. On April 1, 2019, the Company settled this loan with Validus Specialty, Inc. and entered into a new loan agreement with AIG. The new loan receivable has a principal amount of $400,000 bearing an annual interest rate of 5.09% and maturing on April 1, 2033. The outstanding balance as at December 31, 2019 was $401,720. The related interest income earned during the year amounted to $15,340.

As discussed in Note 5, *"Discontinued operations"*, on September 1, 2018, as part of the sale of the Validus Specialty Group, the Company acquired a loan receivable from AIG with a principal amount of $327,729 bearing an annual interest rate of 3.6% and maturing on August 31, 2022. The outstanding balance as at December 31, 2019 was $331,793 (December 31, 2018: $331,672). The related interest income earned during the year amounted to $11,962 (2018: $3,998).

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18. Related party transactions (continued)

Derivatives, investments and loans (continued)

On April 1, 2019, the Company acquired an additional AIG loan receivable from Validus Holdings with a principal amount of $250,000 in exchange for a capital contribution of $73,441 and the settlement of intercompany receivables from Validus Holdings of $176,559. This loan bears an annual interest rate of 3.9% and matures on August 31, 2022. The outstanding balance as at December 31, 2019 was $253,358. The related interest income earned during the year amounted to $7,448.

Service level agreements

In accordance with service level agreements, the Company participates in centralized services wherein expenses are incurred by service and other affiliated entities and allocated to, or recharged from, the Validus Holdings group of companies. Services provided across the group include managerial services, underwriting services, actuarial services, claims services, accounting services, information technology services and others. The following table summarizes the revenue and expenses incurred by the Company for services provided to or received from the Validus Holdings group of companies:

	2019	2018
	$	$
Other insurance-related income and other income	16,239	31,568
General and administrative expenses	75,921	81,738

Other

Certain shareholders of AIG and their affiliates, as well as employees of entities associated with directors and officers may have purchased insurance and/or reinsurance from the Company in the ordinary course of business. The Company does not believe these transactions to be material.

19. Statutory and regulatory requirements

The Company has operations which are subject to laws and regulations in the jurisdictions in which they operate, the most significant of which are Bermuda and Switzerland.

The Company's reinsurance subsidiaries prepare their statutory financial statements in conformity with statutory accounting practices prescribed or permitted by the applicable local laws and relevant regulatory authority. The statutory financial statements may vary materially from statements prepared in accordance with U.S. GAAP.

The Company and its subsidiaries are required to maintain certain measures of solvency and liquidity which provide restrictions on declaring dividends and distributions. Statutory capital and surplus as at December 31, 2019 and 2018 and statutory net income for the years ended December 31, 2019 and 2018 for our reinsurance subsidiaries based in our most significant regulatory jurisdictions were as follows:

	Statutory capital and surplus					
	Required		Actual		Statutory net income (loss)	
	2019	2018	2019	2018	2019	2018
	$	$	$	$	$	$
Bermuda	866,018	1,123,656	3,646,426	3,457,254	394,812	(104,493)
Switzerland	324,000	286,000	1,309,826	820,460	87,453	(7,262)

During the year ended December 31, 2019, the Company declared dividends to Validus Holdings of $280,000 (2018: $908,362).

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19. Statutory and regulatory requirements (continued)

Bermuda

The Company is a Class 4 insurer and has the following Bermuda-based insurance subsidiaries at December 31, 2019 and 2018:

- Validus Reinsurance (Switzerland) Ltd. (Bermuda Branch) - Class 4 insurer
- Mont Fort Re Ltd. - Class 3 insurer

On June 15, 2018, the BMA approved the merger of IPCRe with Validus Reinsurance, Ltd., with Validus Reinsurance, Ltd. being the surviving entity, in accordance with the provisions of Section108 of the Companies Act, 1981.

On December 27, 2018, the Company secured a non-assignable, non-transferrable unsecured standby letter of credit from Standard Chartered Bank for a sum not exceeding the aggregate amount of $200,000 effective December 31, 2018, expiring on December 31, 2021. This standby letter of credit is recorded as Other Fixed Capital on the Statutory Statement of Capital and Surplus and as a Tier 3 Ancilliary Capital as at December 31, 2019 and 2018, subject to certain conditions.

Bermuda-based insurers are required to maintain minimum statutory capital and surplus equal to the greater of a minimum solvency margin (“MSM”) and the Enhanced Capital Requirement (“ECR”) where applicable. The ECR is equal to the higher of the MSM or the Bermuda Solvency Capital Requirement (“BSCR”) model or approved internal capital model. The BSCR for the relevant insurers for the year ended December 31, 2019 will not be filed with the BMA until end of April 2020. As a result, the required statutory capital and surplus as at December 31, 2019 of $866,018 is primarily based on the latest draft BSCR for the current. The revised required statutory capital and surplus as at December 31, 2018 of $1,123,656 is based primarily on the actual December 31, 2018 ECR, which exceeded the December 31, 2018 MSM of $661,874.

At December 31, 2019 and 2018, the actual statutory capital and surplus of the Company and the Bermuda-based insurance subsidiaries exceeded the relevant regulatory requirements.

The ability of the Company’s Bermuda-based subsidiaries to pay dividends to the Company is limited under Bermuda law and regulations. The Insurance Act provides that Class 4 insurers may not declare or pay, in any financial year, dividends of more than 25% of its total statutory capital and surplus (as shown on its statutory balance sheet in relation to the previous financial year) unless it files with the BMA at least seven days prior to the payment, an affidavit signed by at least two directors and such insurance subsidiary’s principal representative, stating that in their opinion, such subsidiary will continue to satisfy the required margins following declaration of those dividends, however, there is no additional requirement for BMA approval.

Notes to the consolidated financial statements

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19. Statutory and regulatory requirements (continued)

Bermuda (continued)

In addition, before reducing its total statutory capital by 15% or more (as set out in its previous year's statutory financial statements) Class 4 Bermuda insurers must make application to the BMA for permission to do so. Such application shall consist of an affidavit signed by at least two directors and such insurance subsidiary's principal representative stating that in their opinion the proposed reduction in capital will not cause such subsidiaries to fail to meet its relevant margins, and such other information as the BMA may require. A Class 3 insurer, before reducing by 15% or more of its total statutory capital, as set out in its previous year's financial statements, is required to apply to the BMA for its approval and provide such information as the BMA may require.

As at December 31, 2019, the Company has the ability to distribute up to $958,778 (December 31, 2018: $832,031) of unrestricted net assets as dividend payments and/or return of capital to Validus Holdings without prior regulatory approval.

The Company's primary restrictions on net assets of insurance subsidiaries consist of regulatory requirements placed upon the regulated insurance subsidiaries to hold minimum amounts of total statutory capital and surplus. There were no other material restrictions on net assets in place as of December 31, 2019.

The Company maintains a branch office in Singapore. As the branch office is not considered a separate entity for regulatory purposes, the required and actual statutory capital and surplus amount includes amounts, as set out above, related to the applicable branch office. The branch office is subject to additional minimum capital or asset requirements in its country of domicile. At December 31, 2019 and 2018, the actual capital and assets for the branch exceeded the relevant local regulatory requirements.

Switzerland

Validus Re Swiss is a société anonyme headquartered in Zurich, Switzerland. The conduct of reinsurance business by a company headquartered in Switzerland requires a license granted by the Swiss Financial Market Supervisory Authority ("FINMA"). Validus Re Swiss maintains a branch office in Bermuda, Validus Reinsurance (Switzerland) Ltd. (Bermuda Branch), a Class 4 insurer.

Required statutory capital and surplus is based on the Target Capital requirements calculated under the Swiss Solvency Test ("SST") and includes both Validus Re Swiss and its Bermuda branch. At December 31, 2019 and 2018, the actual capital and assets exceeded the relevant local regulatory requirements.

Validus Re Swiss is funded by equity in the form of paid in capital by shares and in share premium. Under Swiss corporate law as modified by insurance supervisory law, a non-life insurance company is obliged to contribute to statutory legal reserves a minimum of 20% of any annual profit up to 50% of statutory capital, being paid in share capital. Validus Re Swiss has been substantially funded by share premium. Share premium can be distributed to shareholders without being subject to withholding tax. However, the distribution of any special dividend to shareholders remains subject to the approval of FINMA which considers the maintenance of solvency and the interests of reinsureds and creditors.

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19. Statutory and regulatory requirements (continued)

Switzerland (continued)

Validus Reinsurance (Switzerland) Ltd. (Bermuda Branch) is exempt from filing an Annual Statutory Financial Return and Annual Capital and Solvency Return but is subject to the minimum required statutory capital and surplus requirements for Class 4 insurers and the SST. At December 31, 2019 and 2018, the branch was in compliance with all relevant regulatory requirements.

20. Subsequent events

Beginning in January 2020, global financial markets have experienced and may continue to experience significant volatility resulting from the spread of a novel coronavirus known as COVID-19. The outbreak of COVID-19 has resulted in travel and border restrictions, quarantines, supply chain disruptions, lower consumer demand and general market uncertainty. The extent and duration of the impact of COVID-19 on global and local economies, financial markets and sectors and specific industries in which the Company operates is uncertain at this point and has the potential to adversely affect the Company's business, results of operations or financial condition, the impact of which is still under assessment.

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